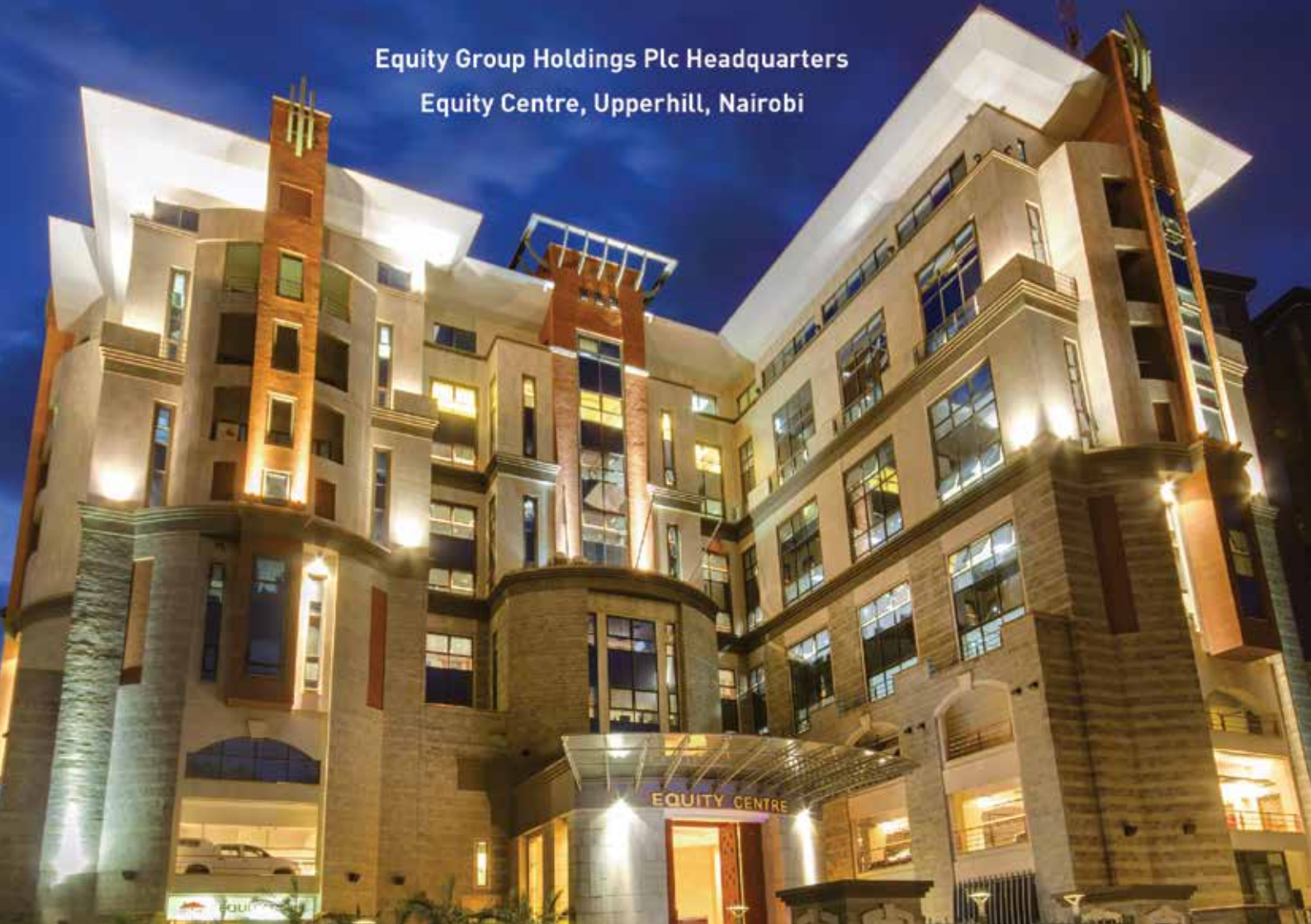


INVESTOR BRIEFING Q1 2023 PERFORMANCE



EQUITY

Equity Group Holdings Plc Headquarters
Equity Centre, Upperhill, Nairobi



Equity Group's Philosophies

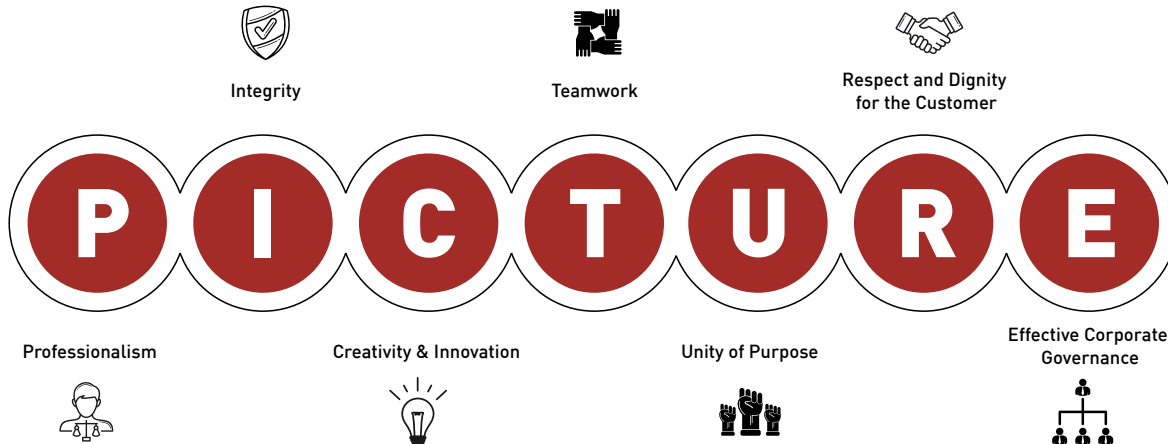
Our Purpose:

Transforming lives, giving dignity and expanding opportunities for wealth creation

Our Vision:

To be the champion of the socio-economic prosperity of the people of Africa

Our Core Values:



MEMBER

MEMBER

MEMBER

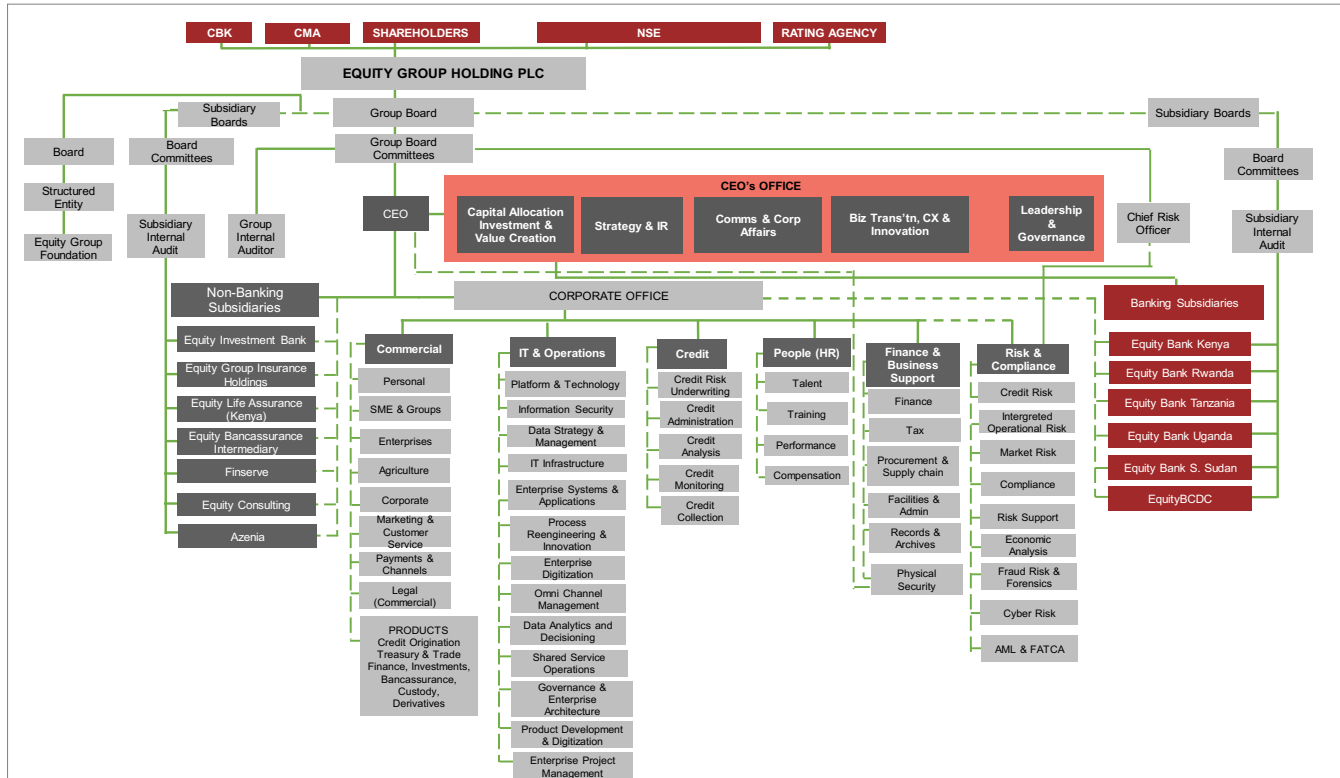
MEMBER

MEMBER

MEMBER

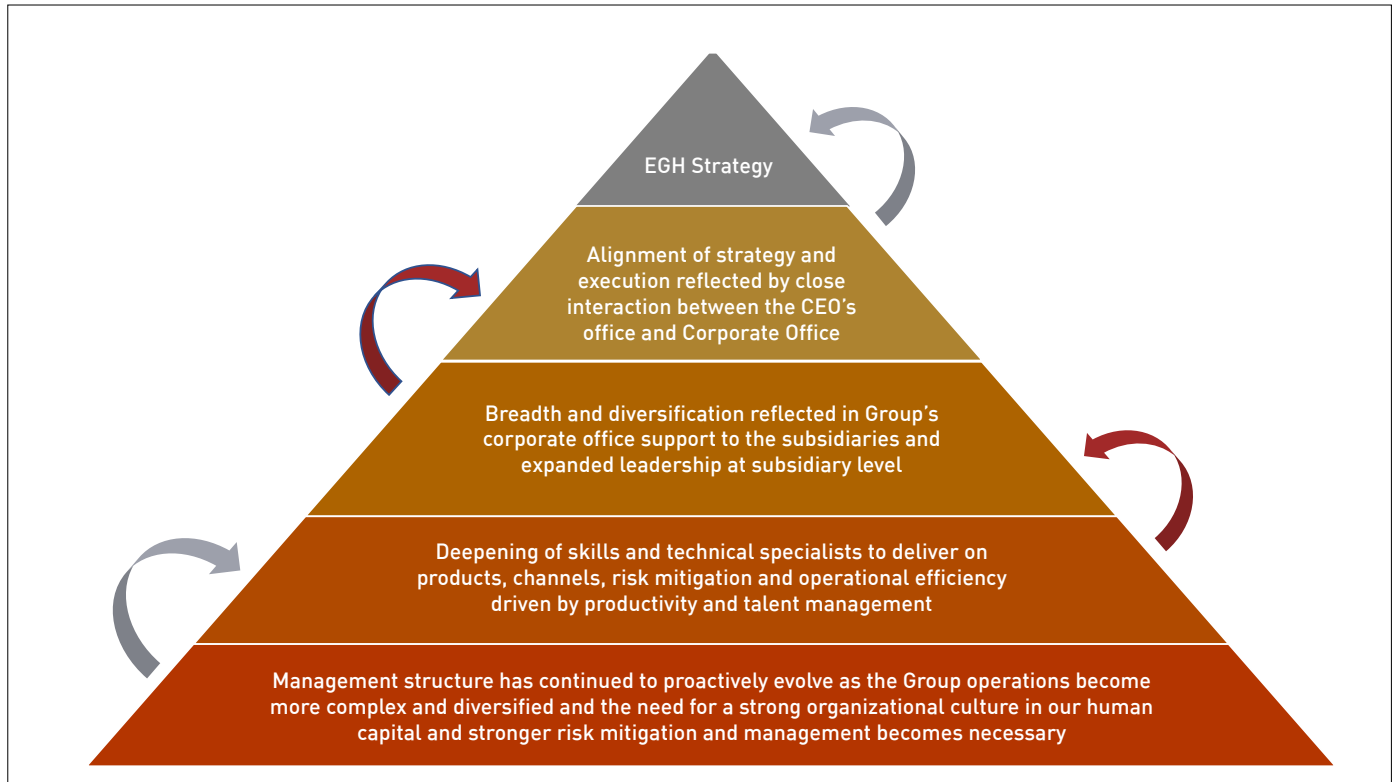
Governance and Organizational Structure

Governance and Organizational Structure



Governance and Organizational Structure

Breadth and Depth of the Management Team



Group Executive Management



Dr. James Mwangi, CBS
Group Managing Director &
Chief Executive Officer



Mary Wamae
Group Executive Director



Samuel Kirubi
Group Chief Operating
Officer



Lydia Ndirangu
Group Company Secretary



Sam Gitwekere
Group Chief Risk &
Compliance Officer



Brent Malahay
Group Director Strategy,
Strategic Partnerships and
Investor Relations



Elizabeth Gathai
Director Digitization and
Automation



David Ngata
Group Finance Director



Christine Browne
Group Director Legal
Service



Joy DiBenedetto
Group Director
Communications



Bildard Fwamba
Chief Internal Auditor

Group Executive Management



Gerald Warui
Managing Director,
Equity Bank Kenya



Emmanuel Deh
Group Director Credit
Risk



Anthony Kituuka
Managing Director,
Equity Bank Uganda



Victor Omondi
Acting Managing Director,
Equity Bank South Sudan



Hannington Namara
Managing Director,
Equity Bank Rwanda



Isabella Maganga
Managing Director,
Equity Bank Tanzania



Célestin Muntuabu
Managing Director,
EquityBCDC S.A.



Jean-Claude Tshipama
Deputy Managing Director,
EquityBCDC S.A.



Angela Okinda
Managing Director, Equity
Life Assurance (Kenya)
Limited

Group Board of Directors



Prof. Isaac Macharia
Non-Executive Chairman



Dr. James Mwangi, CBS
Group Managing Director and
Chief Executive Officer



Mary Wamae
Group Executive Director



Dr. Edward Odundo
Non-Executive Director



Evelyn Rutagwenda
Non-Executive Director



Vijay Gidoomal
Non-Executive Director



Jonas Mushosho
Non-Executive Director



Dr. Helen Gichohi
Non-Executive Director



Dr. Evans Baiya
Non-Executive Director



Lydia Ndirangu
Group Company Secretary



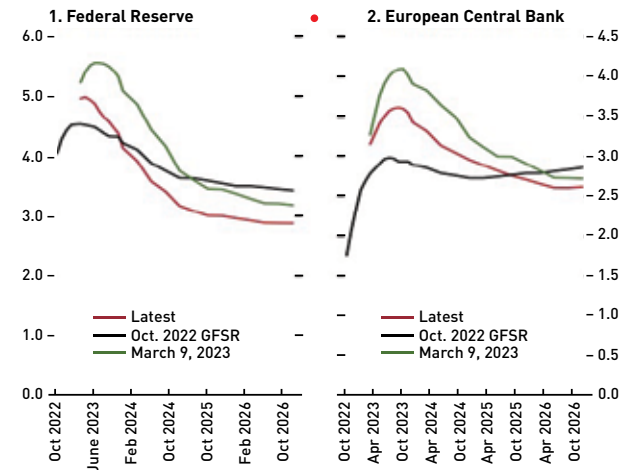
Macroeconomic and Operating Environment

Global Economic Outlook - Uncertain

Inflation vs financial stability

- **The outlook is uncertain** because of the backdrop of turmoil in the banking sector, high inflation, and the ongoing effects of the war in Ukraine and the COVID-19 pandemic.
- In Q1 2023, global inflation proved to be stickier than initially anticipated.
- The effects of the sharp increase in interest rates by the world's major central banks are beginning to manifest through vulnerabilities in the banking sector.
- Stress in financial markets is complicating policymaking by central banks, when inflation is proving to be sticky.
- The turmoil in the banking sector has resulted in investors sharply repricing downward the expected path of monetary policy in advanced economies. They now expect central banks to begin easing monetary policy much earlier than what was previously forecast.

Figure ES.5. Policy Rate Expectations
(Percent)



Sources: Bloomberg Finance L.P.; European Central Bank; national authorities; US Federal Reserve; and IMF staff calculations.

Note: GFSR = Global Financial Stability Report.

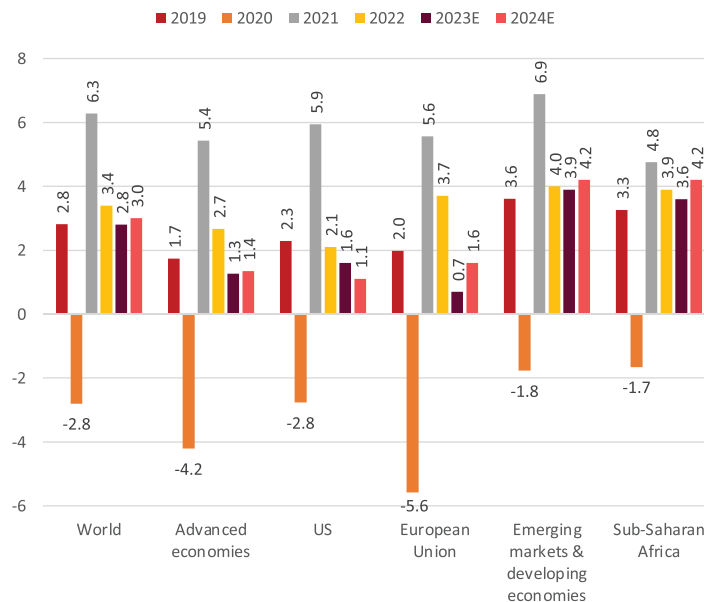
Source: IMF's Global Financial Stability Report, April 2023

Global Economic Outlook (continued)

Weak growth

- **Global economic slowdown.** Global growth is projected to slow to 2.8% in 2023, from 3.4% in 2022, by the IMF. Advanced economies will be the main drag on global growth. Emerging markets and developing economies' growth will moderate to 3.9% in 2023, from 4.0% in 2022.
- **The slowdown is in large part due to the sharp tightening of monetary policy** in 2022, led by the world's major central banks. The war in Ukraine will also dampen economic activity, particularly in Europe. China's re-opening implies a brisker growth recovery for that economy than initially expected. Sticky inflation implies interest rates may be high for longer.
- **The risks to the growth outlook are to the downside.** The turmoil in the banking sector could result in a sharp slowdown in lending, which would slow growth. The war in Ukraine could escalate. On the upside, a tight labour market and strong wage growth in the US is supportive of consumer demand.
- **Global growth is projected to pick up to 3.0% in 2024,** when monetary policy is expected to ease.

Real GDP growth, %



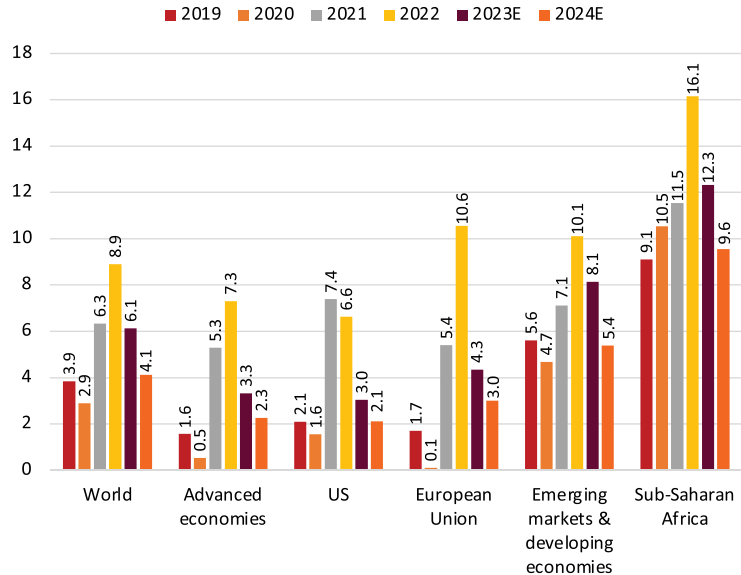
Source: IMF

Global Economic Outlook (continued)

Inflation is moderating, but remains high amid banking sector turmoil

- Sticky inflation.** Inflation is still at double its pre-2021 levels and far above target among almost all inflation targeting countries, according to the IMF. Earlier cost shocks and historically tight labour markets explain stickier inflation. World inflation is expected to slow to 6.1% at the end of 2023, from 8.9% at the end of 2022, led by advanced economies. This on the back of a decrease in commodity prices, and the effect of the tightening of monetary policy.
- Global inflation is expected to fall further in 2024 to 4.1%, but this will still be above pre-pandemic levels.
- Emerging markets & developing economies' inflation is expected to slow** to 8.1% in 2023, from 10.1% in 2022.
- Sub-Saharan Africa's inflation is expected to fall** to 12.3% at the end of 2023, from 16.1% at the end of 2022, but remain in the double digits. The region's inflation is projected to fall into the single digits – to 9.6% - in 2024.

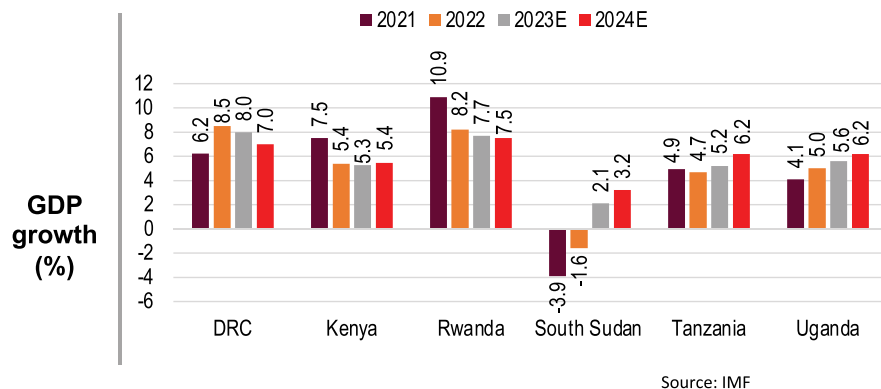
Inflation, year end %



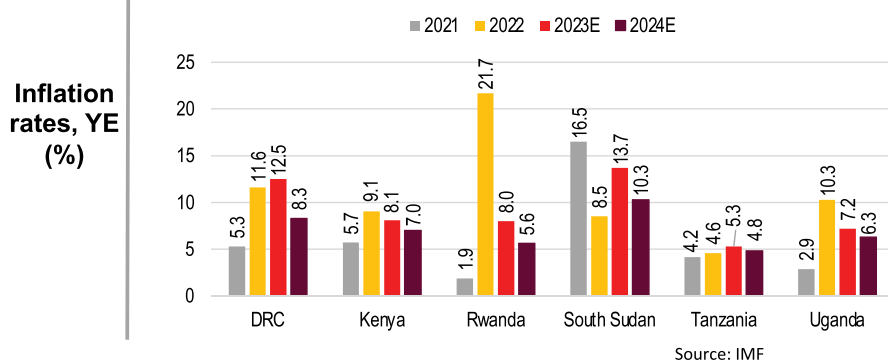
Source: Bloomberg

Regional Economic Outlook

Pick up in GDP growth, stubborn inflation



Growth projected to pick up from 2024. Sub-Saharan Africa's (SSA) growth is projected to slow by 3.6% in 2023, by the IMF, from 3.9% in 2022. East Africa will grow faster than the SSA average, with mid-single-digit growth rates. Kenya's growth is projected to slow slightly to 5.3% in 2023, from 5.4% in 2022. This because of the dampening effect of high interest rates on credit growth and a slowdown in public investment that may counter the pickup in agricultural activity on the back of improved rains. The DRC's growth will moderate to 8.0% in 2023, from 8.5% in 2022. SSA's growth is projected to strengthen to 4.2% in 2023.

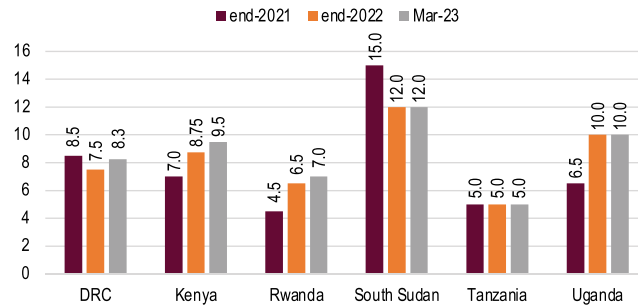


Stubborn inflation. Inflation is generally expected to slow in East Africa in 2023. However, there are upside risks from strong food prices owing to an ongoing drought in the region, and currency depreciation against a strong US dollar. In Kenya, we expect inflation to remain in the high single-digits in 2023, and slow to the upper band of its target range of 2.5-7.5% in the short term.

Regional Economic Outlook (continued)

Scope for further rate hikes

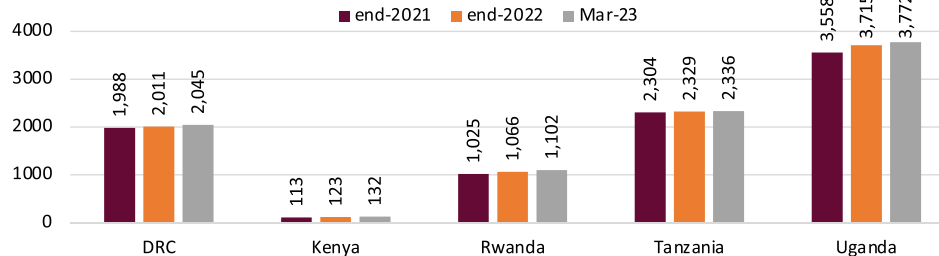
Regional
CBR (%)



Interest rates are likely to remain elevated.

We believe there is scope for further interest rate hikes given that inflation is sticky. The US Federal Reserve has also indicated it has not finished hiking its interest rate. This implies upside risk to interest rates in the region. We think interest rate cuts are a low-risk event in 2023. This is only likely from 2024. In Kenya's case, we think there is upside risk to the central bank rate (CBR) over the short term.

Regional
currency
depreciation
to USD



Strong US dollar puts currencies under pressure. The sharp increase in US interest rates led to a risk off sentiment that placed frontier markets' currencies under pressure to depreciate. In Kenya, we expect this pressure to persist in the short term because of significant short term dollar financing needs.

Overview of the “Africa Recovery and Resilience Plan”

The Plan

The Africa Recovery and Resilience Plan is aimed at catalysing a demand complementarity-led transformation of Africa, underpinned by: (i) capacitating and enhancing productivity of raw material producers, (ii) integrating primary producers to more co-ordinated African productive / manufacturing capacities; and (iii) connecting these primary and secondary sectors to global supply chains (and capital markets) that are now more focused on reducing concentration risks with increased focus on assurance of accessibility.

Equity Group's execution of the “Africa Recovery and Resilience Plan” will be underpinned by its **Social and Economic Engines** that capacitate value chains (Social Engine) and provide holistic financial solutions to productive ecosystems (Economic Engine).

Equity Group's excess liquidity (currently ~2% of cumulative GDP of east and central Africa) will be redirected to the private sector across various value chains.

6 Pillars of the Plan

The Plan comprises 6 strategic pillars that ensure a systematic, co-ordinated and holistic framework for execution:

- **A more coherent and productive natural resource ecosystem in agriculture and extractives** - more co-ordinated, connected and capacitated primary supply chains will drive higher productivity and throughput
- **Manufacturing and logistic anchors** - Africa has an opportunity to leverage off its natural endowments to anchor expansion of productive capacities and manufacturing capacity. More importantly, a coherent primary sector which is integrated to pan-African productive capacities will drive demand complementarities across regional blocs over the medium- to long-term
- **Trade and investment to give broader market access and support factor mobility** - expanded markets and access to technology, capital and skills will enhance offtake of African products and services
- **MSMEs** - connectivity of small businesses into formal primary and secondary sector value chains will enrich and drive more integrated domestic value chains / demand complementarities
- **Social and environmental transformation** - capacity building of value chain stakeholders, especially amongst smallholder farmers and MSMEs will drive sustainable productivity gains and improve ease of factor mobility
- **Technology-enabled economy** - online businesses will accelerate connectivity and velocity in ecosystems

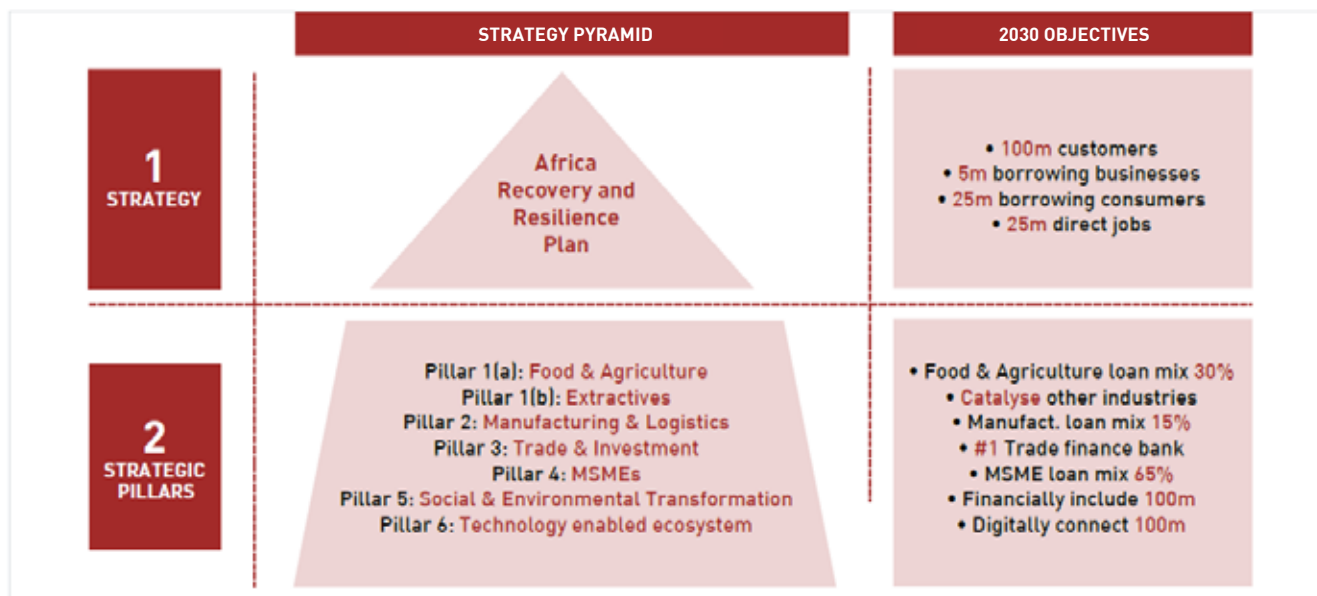
Objectives of the Plan

The first phase (end-2025) objectives of the plan include:

1. **Inclusivity of 100 million on-line businesses and customers:** Economic and social inclusion of more productive households and financially enabled value chains
2. **Multiplier effect of 5 million borrowing businesses and 25 million borrowing consumers:** borrowing businesses to drive value chain expansion and employment, whilst consumer borrowing to enable household aspirations and livelihoods
3. **Employment of 50 million:** 25 million direct jobs to be created as businesses grow and a further 25 million indirect jobs created as value chains expand and deepen
4. **Additional private sector lending of ~2% of regional GDP:** loan book to be directed towards agriculture (30%), manufacturing (15%), MSMEs (65%)

2025 Strategy Framework

Equity Group's 2025 strategy is a multi-pronged and holistic solution to achieve social and economic transformation of Africa. The strategy comprises 6 strategic pillars that will be operationalized through a collaborative, deliberate and ecosystem centric approach. The plan was conceived with execution in mind and with no economic and financial assumptions, only targets!





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Equity Bank Business Model and Strategy

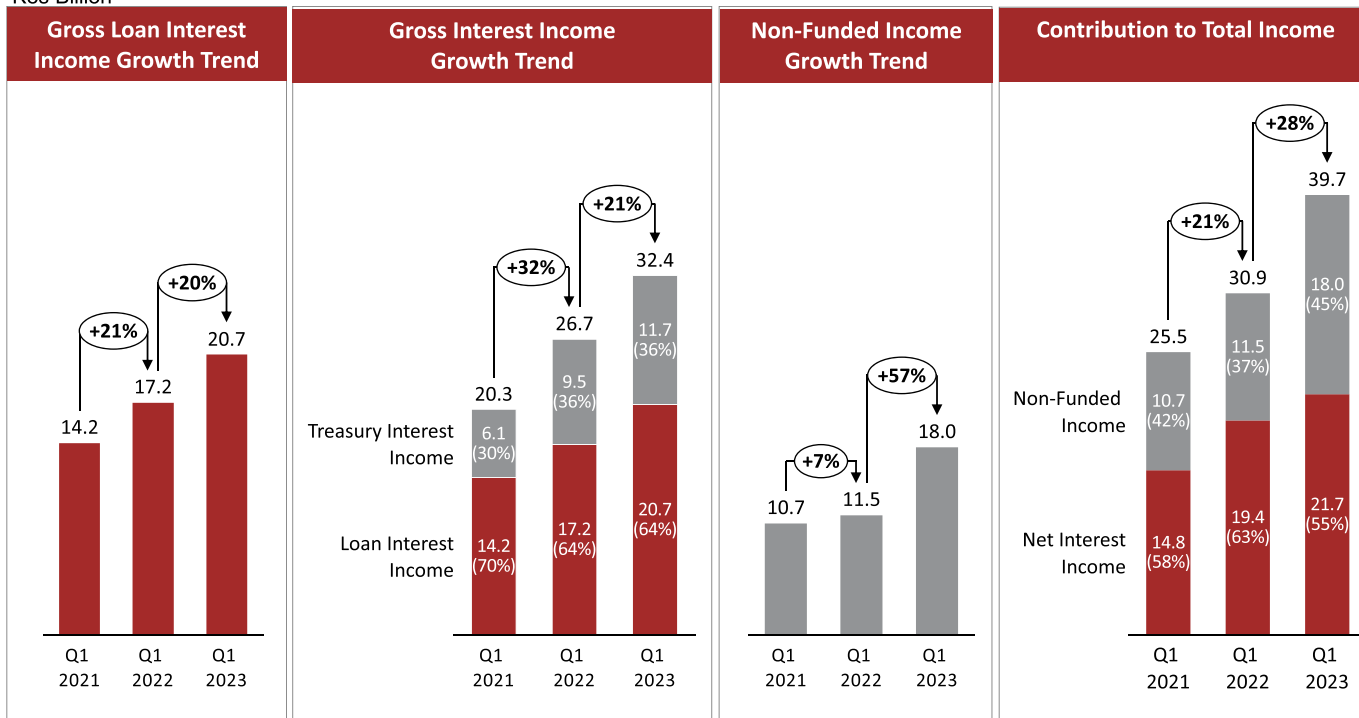
Equity Bank Business Model & Strategy Focus

Inclusive, High volume, Low Margin, Digital and Experiential, Agile and Quality-Driven Business Model

1. Non - Funded Income Growth
2. Treasury Efficiency
3. Geographical Expansion and Business Diversification
4. Balance Sheet Efficiency, Optimization and Agility
5. Business Transformation - Innovation and Digitization
6. Asset Quality, Distribution and Risk Mitigation
7. Efficiency and Cost Optimization
8. Impact Investment & Social Brand Development

Focus Area 1: Non-Funded Income Growth

Kes Billion

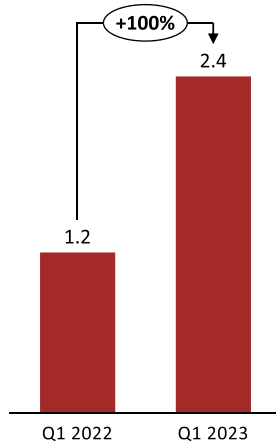


Focus Area 1: Non-Funded Income

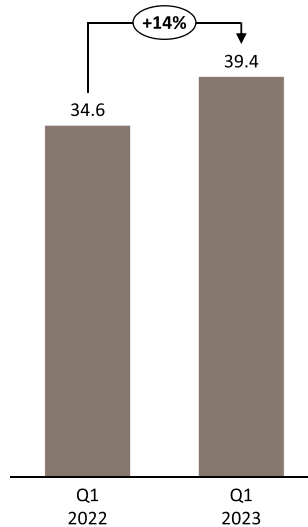
Trade Finance Performance

Kes Billion

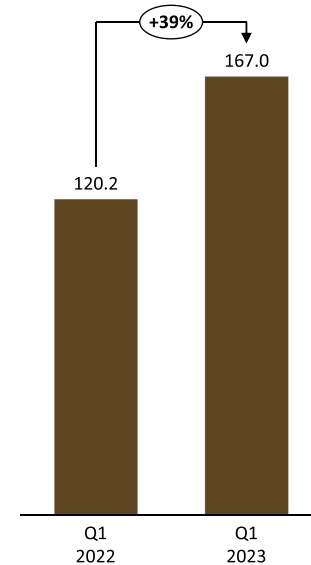
Gross trade finance revenue



Trade finance related lending

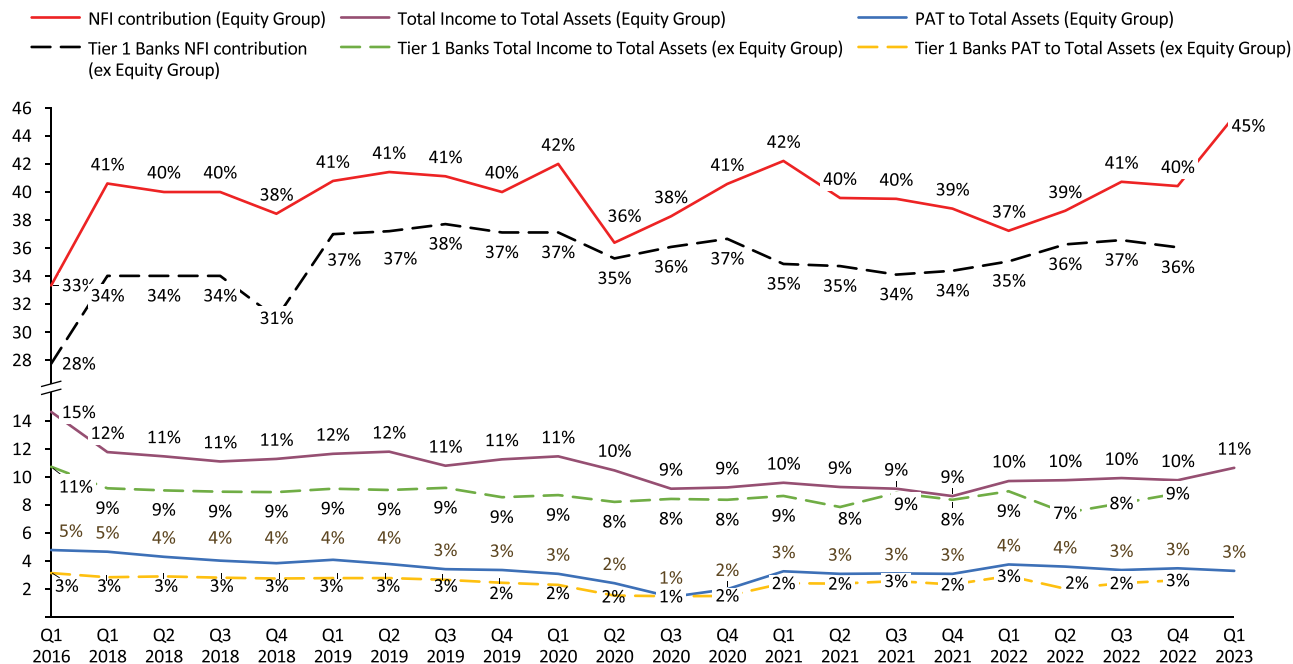


Trade finance guarantees & off-balance sheet Items



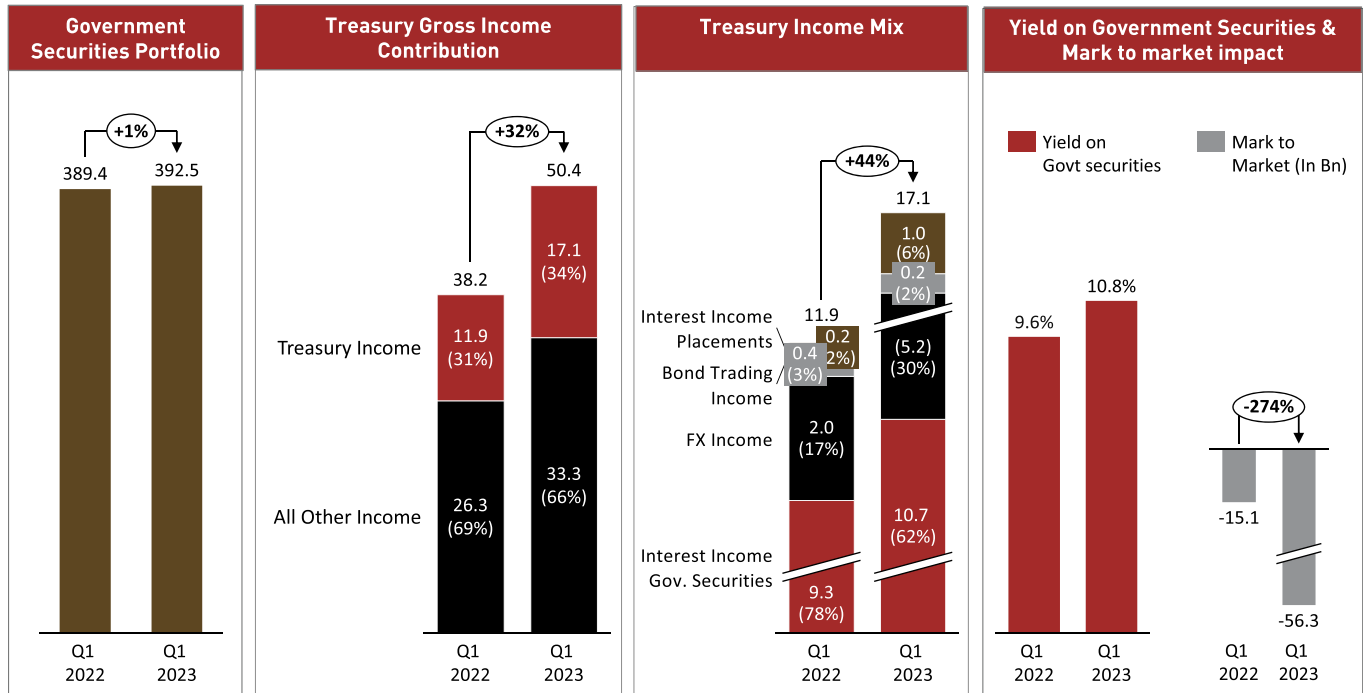
Focus Area 1: NFI Contribution

Equity Group still more diversified than the sector's average as at FY 2022. Equity's focus on NFI has led to superior returns compared to the market with higher income and profitability on total assets



Focus Area 2: Treasury Efficiency

Kes Billion



Note: Income calculation above is before funding costs

Focus Area 3: Subsidiaries Performance and Contribution

FY 2022	EBTL	EBRL	EBUL	EBSS	Equity BCDC	EBIL	EIB	Finserve &Azenia	ELAK	Other Subs Total (% Contribution)	EBKL (% Contribution)	Group (% growth)	Other Subs Contribution Q1 2023	Other Subs Contribution Q1 2022
Deposit	35.8	54.5	101.5	11.2	369.6					572.6	655.5	1,111.2	47%	48%
YoY Growth	36%	36%	43%	21%	23%					47%	53%	23%		
Loan	24.7	30.1	58.2	0.5	193.9					307.4	448.9	756.3	41%	35%
YoY Growth	24%	9%	17%	85%	57%					41%	59%	21%		
Assets	48.5	70.9	125.9	17.0	459.3	1.27	0.88	6.73	6.30	736.8	903.3	1,537.7	45%	40%
YoY Growth	35%	28%	40%	22%	27%	1%	49%	47%	191%	45%	55%	21%		
Revenue	1.2	1.9	3.2	1.0	12.2	0.33	0.10	1.10	0.35	21.2	21.1	39.7	50%	41%
YoY Growth	20%	29%	14%	129%	96%	-14%	136%	5%	170%	50%	50%	29%		
Cost before provisions	0.7	0.7	1.9	0.2	6.2	0.09	0.03	0.93	0.20	11.1	10.0	19.7	52%	52%
YoY Growth	20%	26%	47%	12%	54%	6%	12%	-4%	85%	52%	48%	39%		
PBT before provisions	0.5	1.2	1.3	0.8	6.0	0.24	0.07	0.17	0.15	10.2	11.1	20.0	48%	32%
YoY Growth	19%	30%	-16%	206%	175%	-20%	458%	-320%	580%	48%	52%	20%		
PBT	0.3	1.1	1.0	0.8	4.7	0.24	0.06	0.16	0.15	8.6	9.4	16.9	48%	30%
YoY Growth	62%	34%	-16%	206%	162%	-20%	458%	-120%	580%	48%	52%	10%		
PAT	0.3	0.8	0.9	0.6	3.4	0.17	0.05	0.10	0.15	6.3	7.2	12.8	47%	29%
YoY Growth	80%	34%	-5%	168%	139%	-20%	314%	-360%	580%	47%	53%	8%		
RoAE	17.2%	38.1%	25.7%	57.6%	28.6%	213.4%	43.4%	50.1%	63.7%	30.6%	29.2%	27.5%		
Cost of Capital	20%	19%	19%	>25%	22%	18%	18%	18%	18%	21%	18%	19%		

Focus Area 3: Geographical Expansion and Business Diversification

Performance Trend - Banking Subsidiaries: Value creation and growth

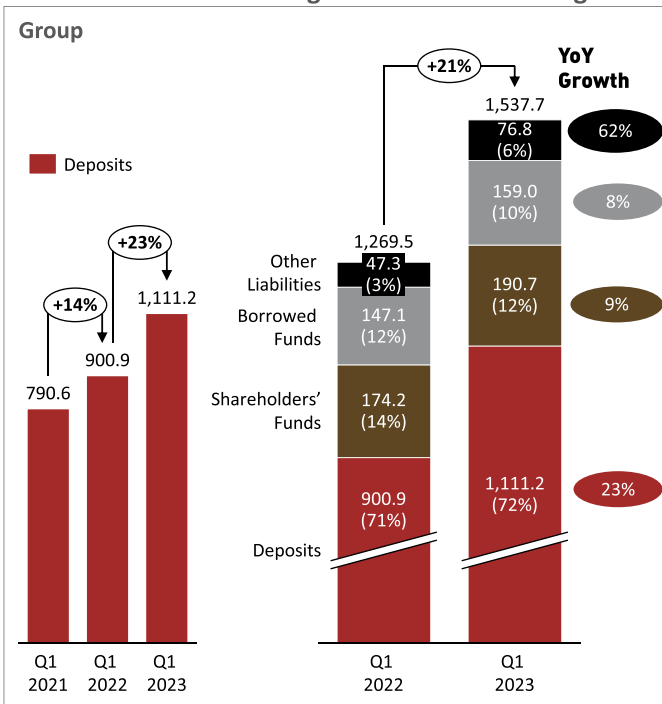
RoAE			RoAA		
Subsidiary	Q1 2022	Q1 2023	Subsidiary	Q1 2022	Q1 2023
EBKL	32.7%	29.2%	EBKL	4.0%	3.2%
EBUL	28.1%	25.7%	EBUL	4.1%	3.0%
EBRL	30.9%	38.1%	EBRL	4.3%	4.5%
EBTL	11.8%	17.2%	EBTL	1.7%	2.5%
EquityBCDC	19.0%	28.6%	EquityBCDC	1.4%	3.0%
EBSSL	20.4%	57.6%	EBSSL	6.1%	12.9%
EBIL	250.5%	213.4%	EBIL	101.9%	61.8%
ELAK	20.8%	63.7%	ELAK	4.2%	10.3%

Cost-to-Assets Ratio			Cost-to-Income Ratio		
Subsidiary	Q1 2022	Q1 2023	Subsidiary	Q1 2022	Q1 2023
EBKL	3.4%	4.6%	EBKL	38.5%	47.1%
EBUL	5.8%	6.6%	EBUL	47.6%	61.4%
EBRL	4.3%	4.8%	EBRL	37.6%	36.9%
EBTL	6.9%	7.5%	EBTL	63.1%	63.4%
EquityBCDC	4.6%	6.2%	EquityBCDC	65.3%	51.2%
EBSSL	5.1%	4.7%	EBSSL	39.7%	19.5%
EBIL	39.8%	32.1%	EBIL	21.5%	26.6%
ELAK	19.9%	13.5%	ELAK	82.8%	56.6%

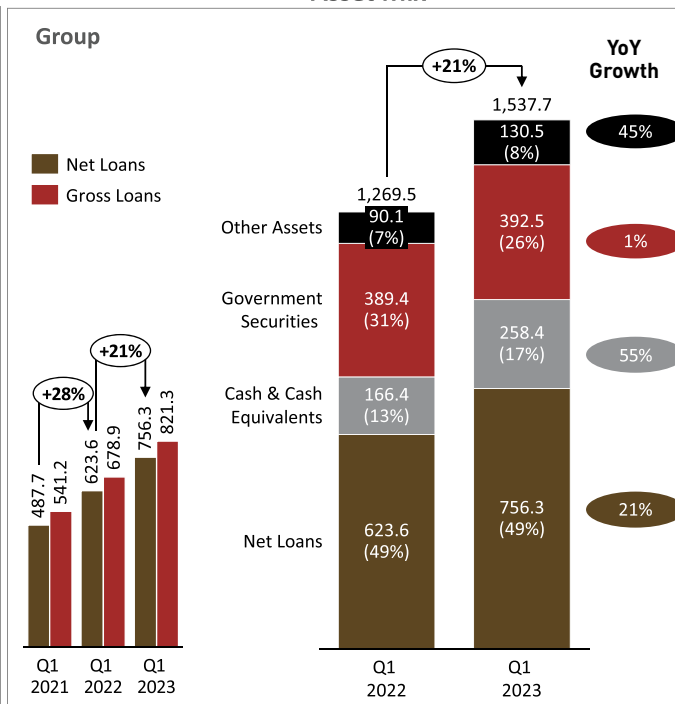
Focus Area 4: Balance Sheet Efficiency, Optimization and Agility

Kes Billion

Funding Structure and Leverage

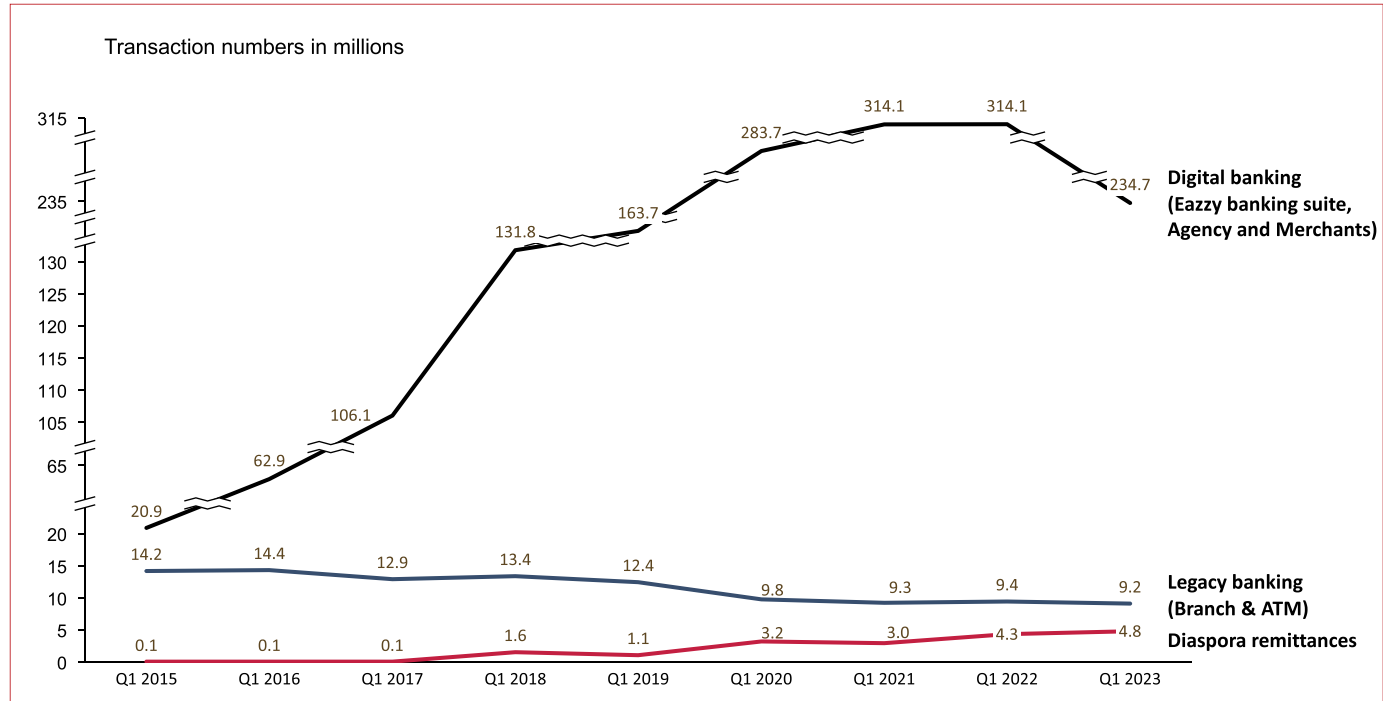


Asset Mix



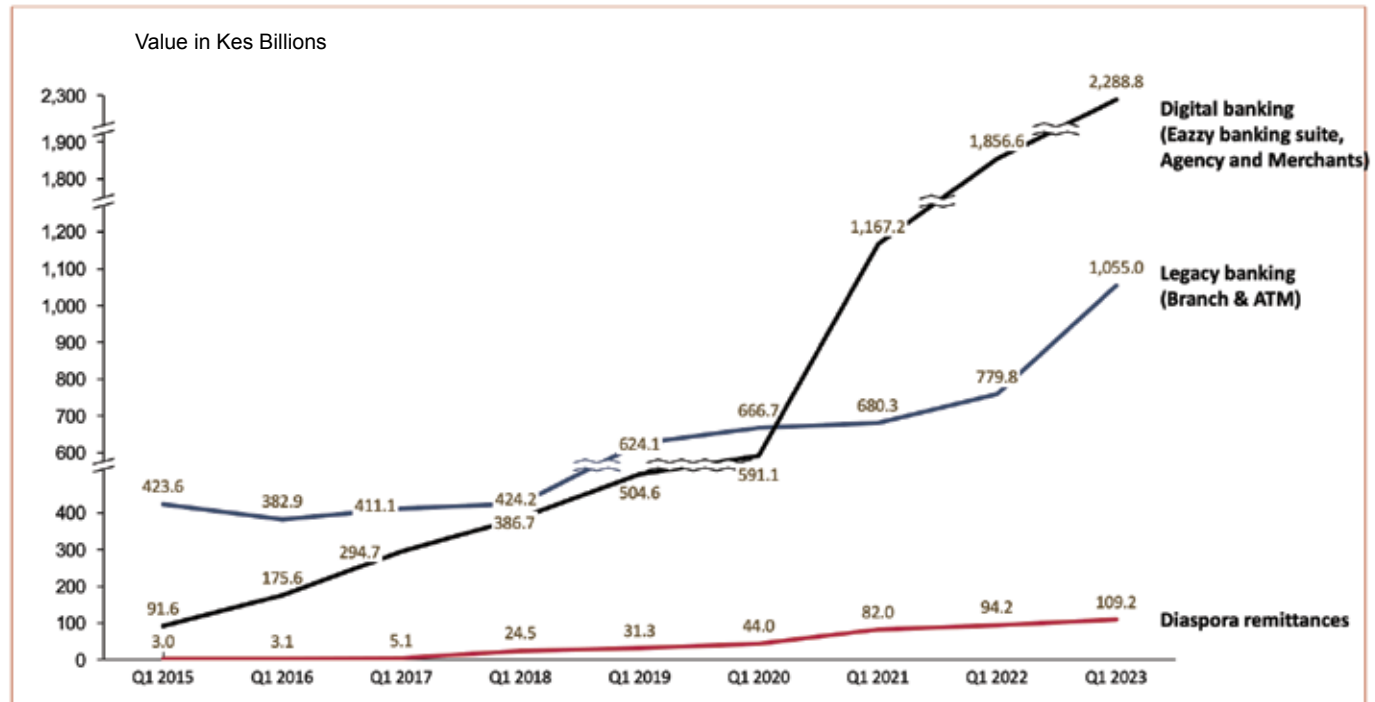
Focus Area 5: Business Transformation - Innovation and Digitization

Digital business: Enabling transition from fixed cost to 3rd party variable cost channels and self-service platforms



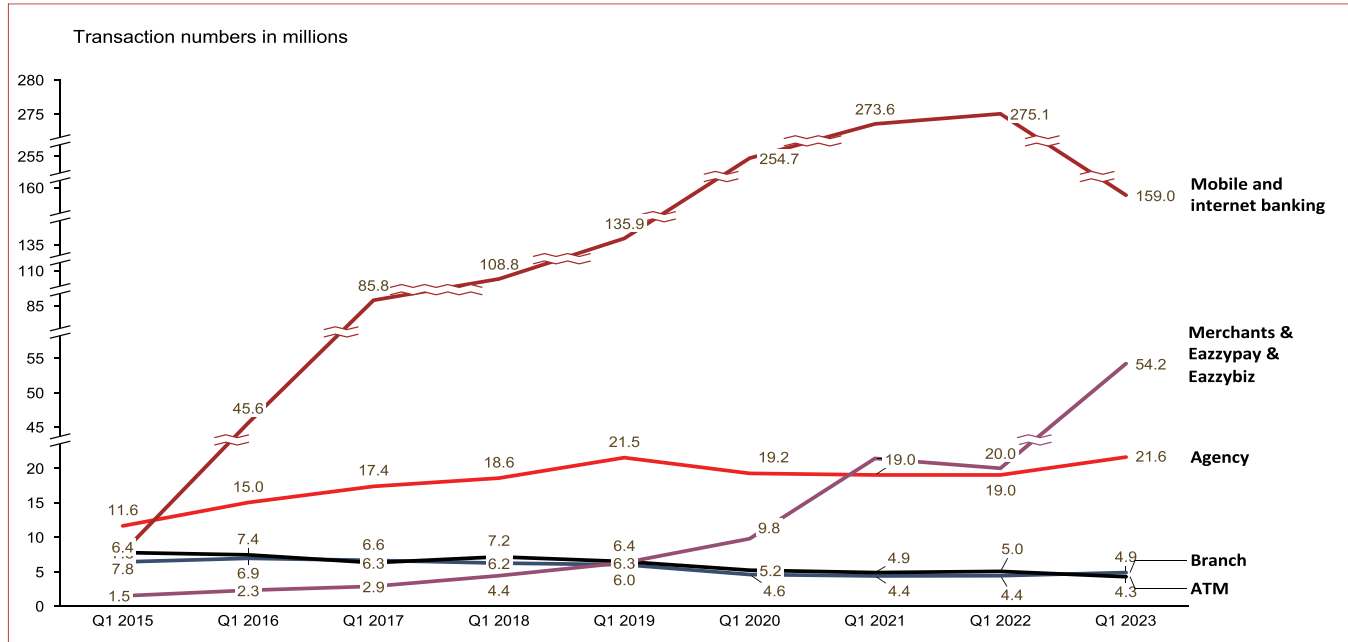
Focus Area 5: Business Transformation - Innovation and Digitization (continued)

Digital business: Enabling transition from fixed cost to 3rd party variable cost channels and self-service platforms



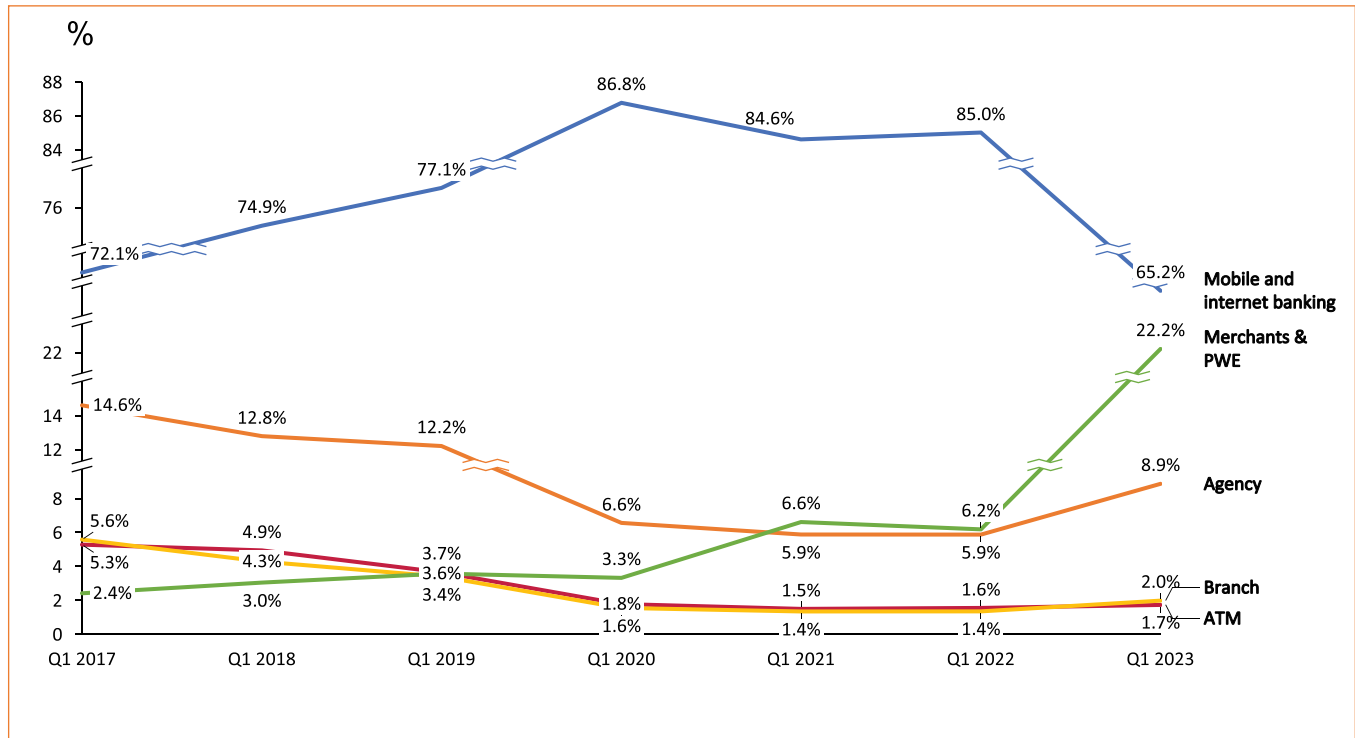
Focus Area 5: Business Transformation - Innovation and Digitization (continued)

Digital business: Enabling transition from fixed cost to 3rd party variable cost channels and self-service platforms



Focus Area 5: Business Transformation - Fintech Capabilities: Digital Business

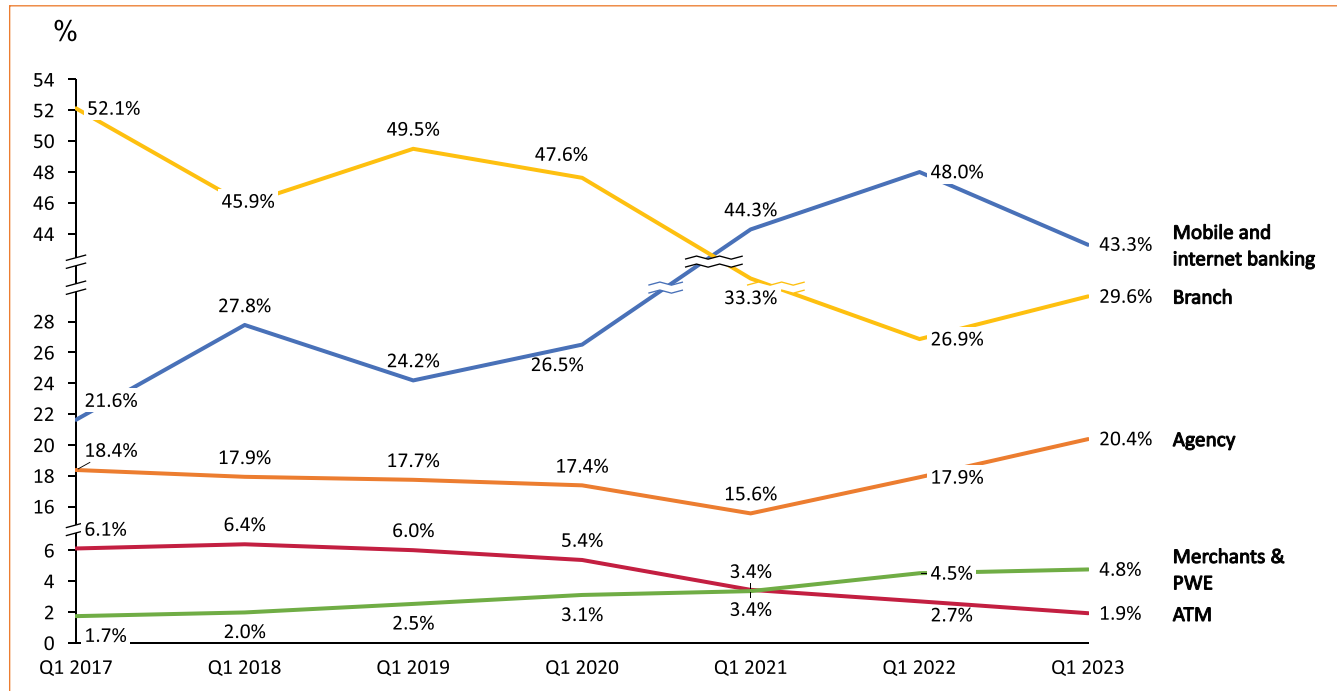
98% of our transactions outside the branch



Focus Area 5: Business Transformation - Fintech Capabilities: Self-Service Channels

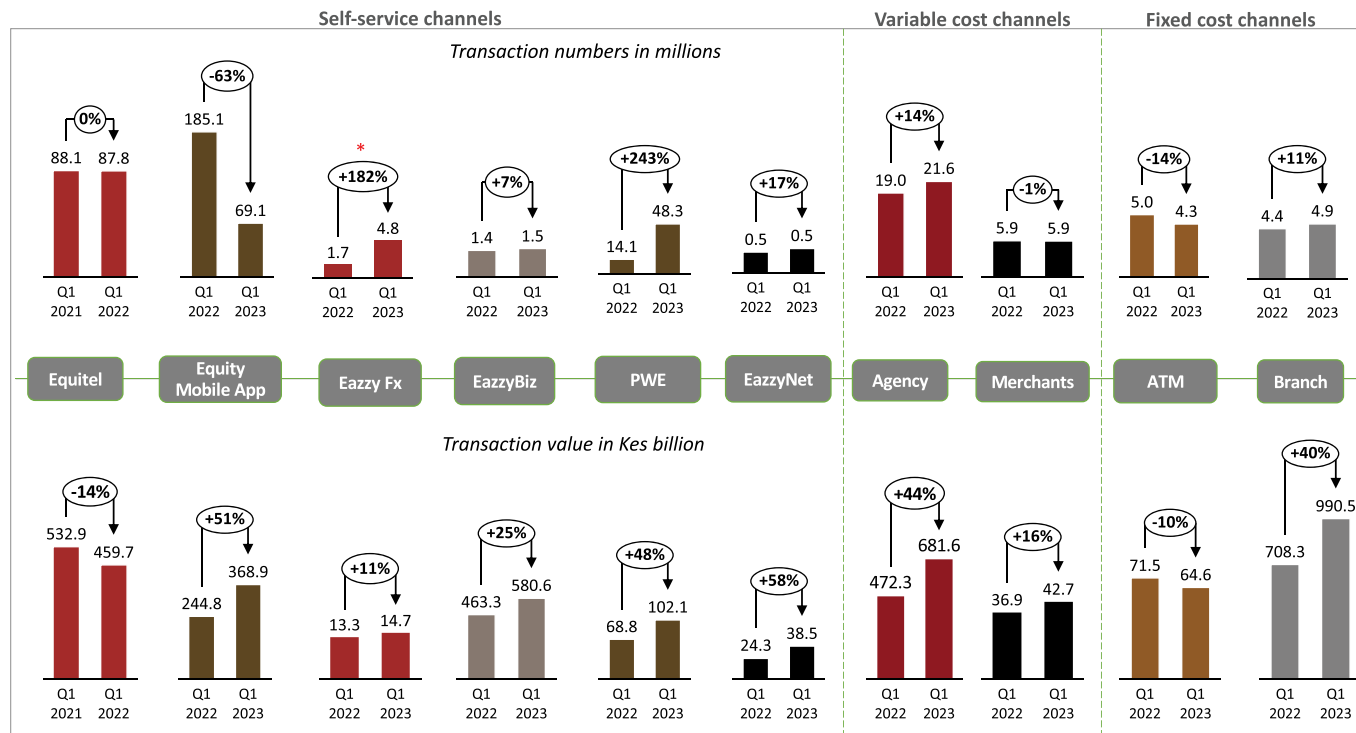
70% of our transactions value outside the branch

Branches now handling high value transactions for SME, corporates, wealth management & advisory services



Focus Area 5: Business Transformation - Innovation and Digitization

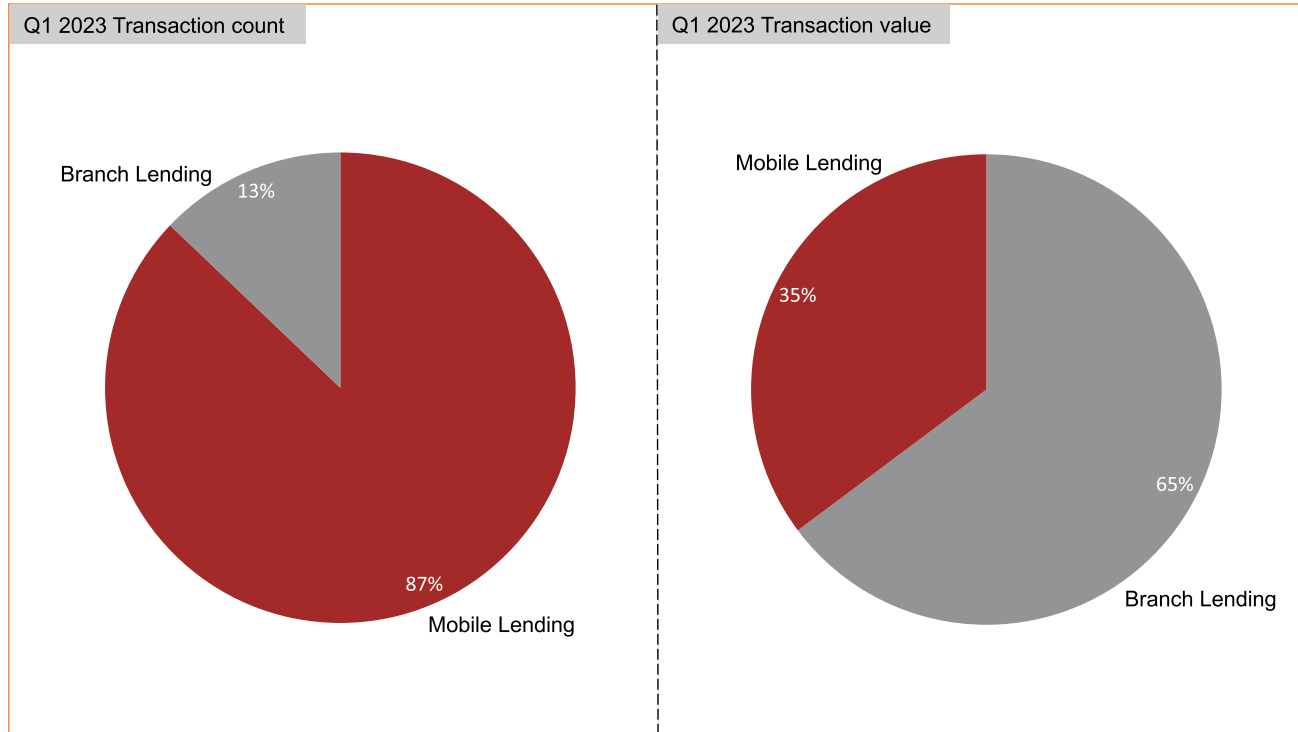
Migrating from fixed and variable cost channels to self-service channels



* Eazzy Fx transaction numbers in thousands

Focus Area 5: Business Transformation - Fintech Capabilities: Data Strategy, Decision Science and Analytics

87% of our Loan Transactions via Mobile Channel



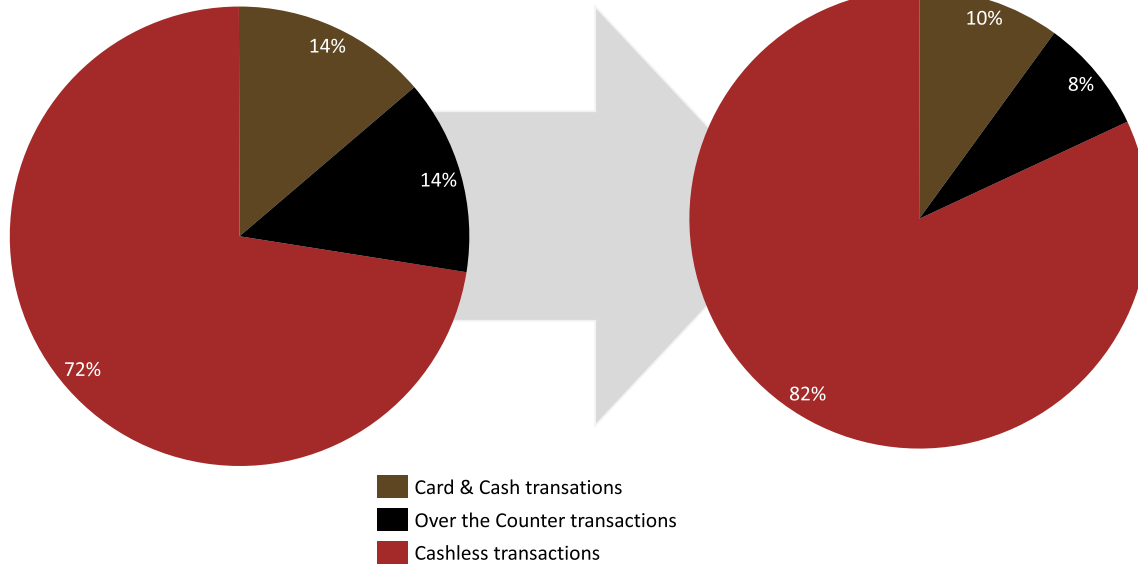
Focus Area 5: Business Transformation - Fintech Capabilities: Lifestyle Support

Payments Processing Capabilities – Promoting a Cashless Economy

82% of our customers using cashless payment capabilities rather than transacting in cash

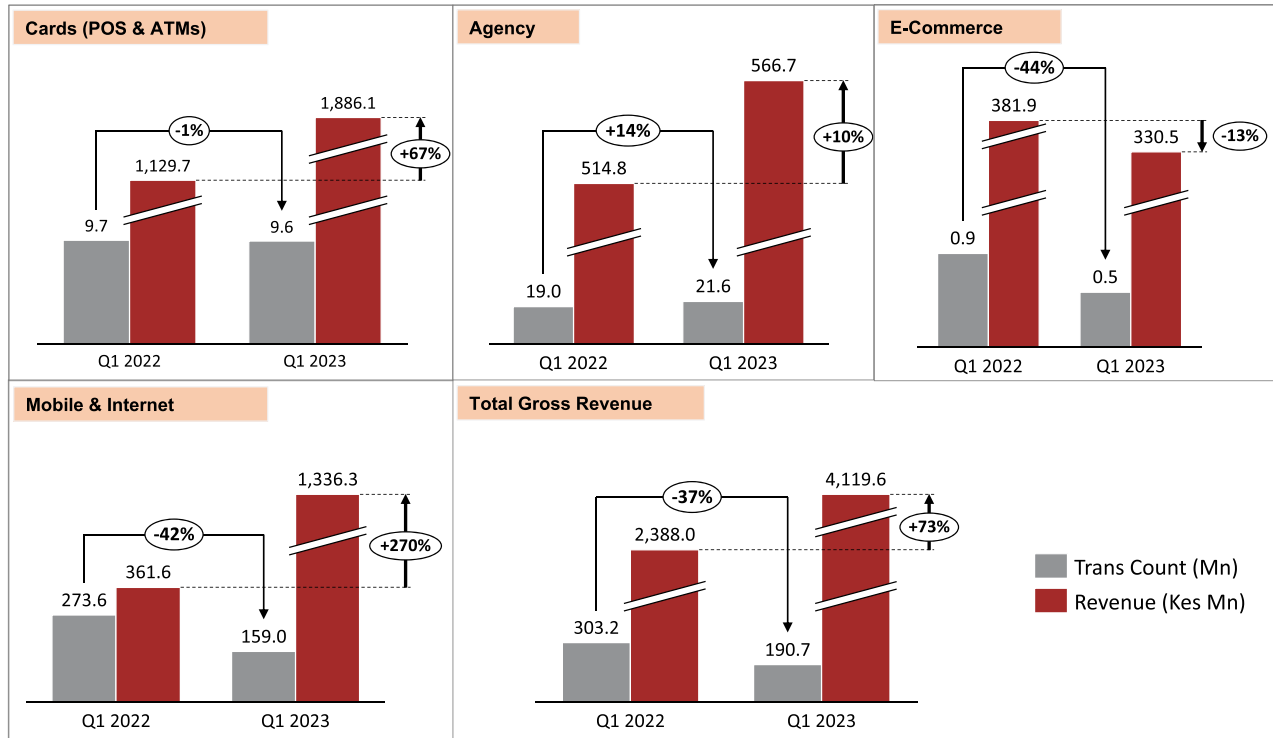
Q1 2022

Q1 2023



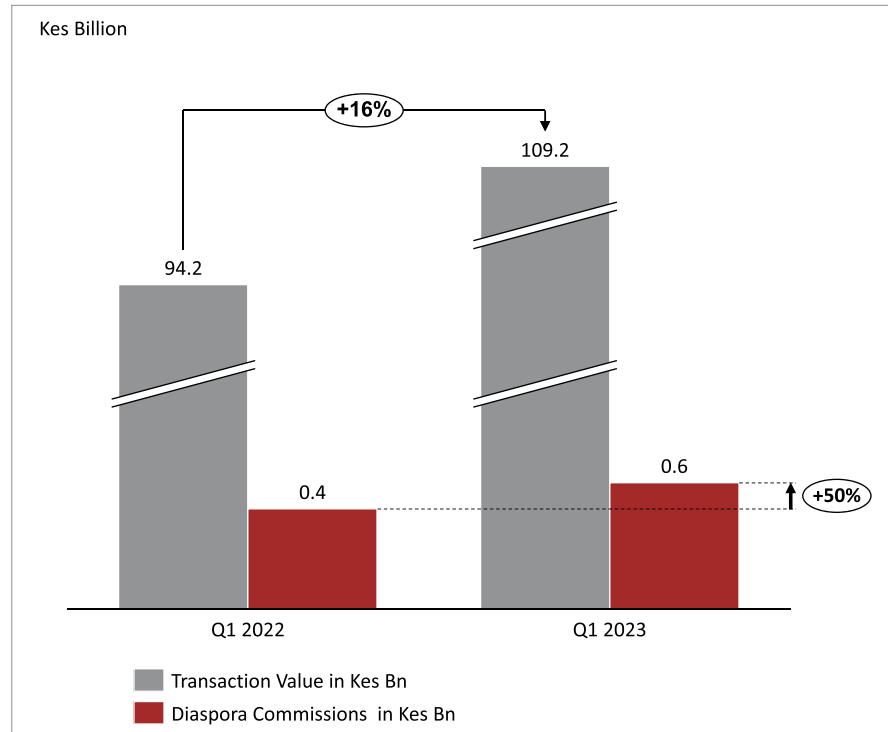
Focus Area 5: Business Transformation - Fintech Capabilities: Lifestyle Support

Payments Processing Capabilities



Focus Area 5: Business Transformation - Fintech Capabilities: Compressing Time and Geography

Remittances Processing



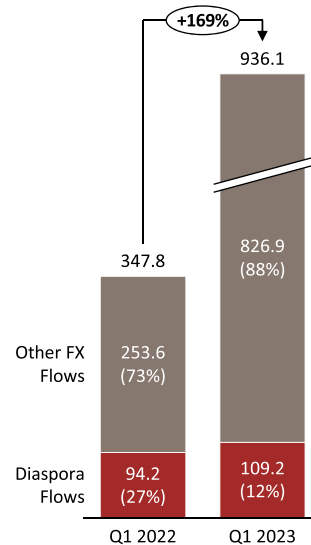
Focus Area 5: Business Transformation - Fintech Capabilities: Global Presence

FX Trading – Enabling Global Trade



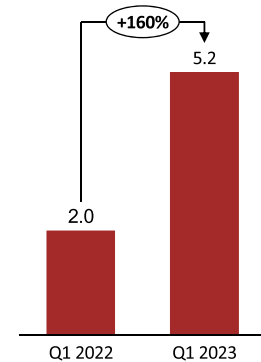
Kes Billion

- The diaspora flows account for 12% of all client Fx volumes



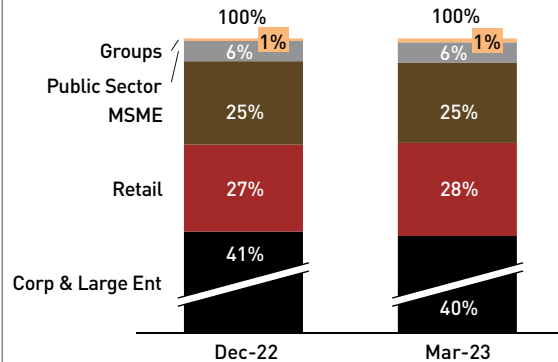
Kes Billion

Fx Trading Income

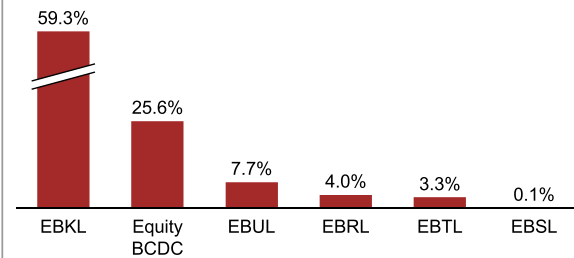


Focus Area 6: Asset Quality, Distribution and Risk Mitigation

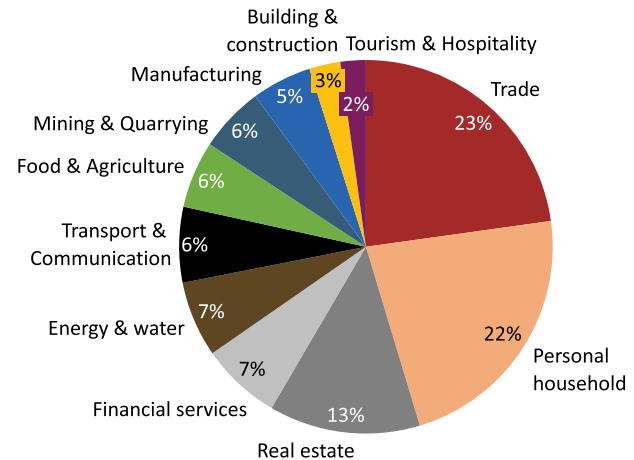
Risk mitigation via diversification of market segments



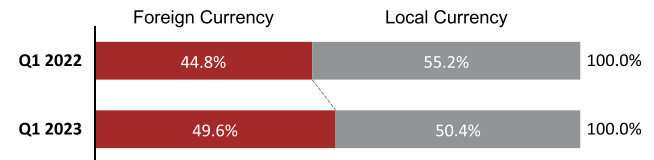
Geographical sovereign risk diversification



Risk mitigation via diversification of economic sectors

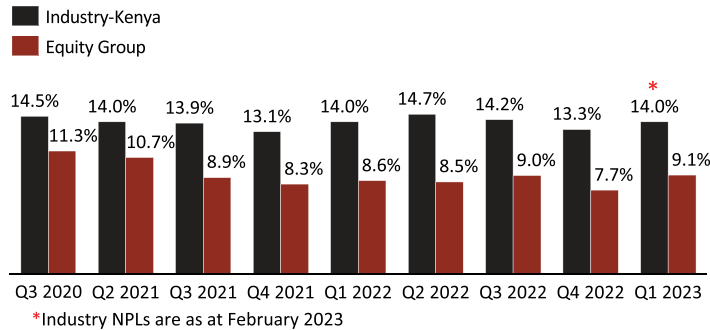


Diversification by currency

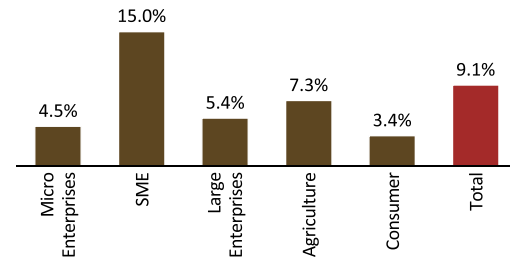


Focus Area 6: Asset Quality, Distribution and Risk Mitigation

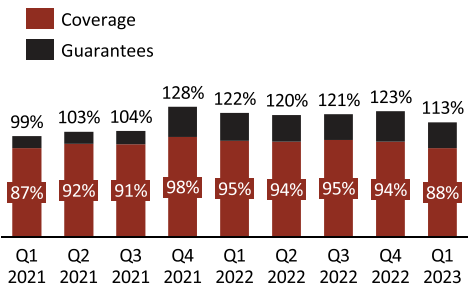
NPL's –Industry vs EGH Plc



NPL per sector as at Q1 2023

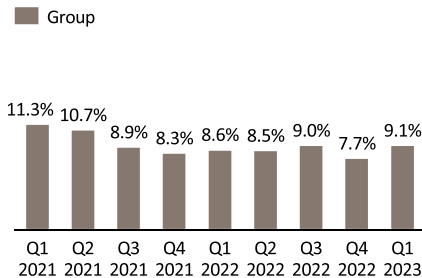


NPL Coverage

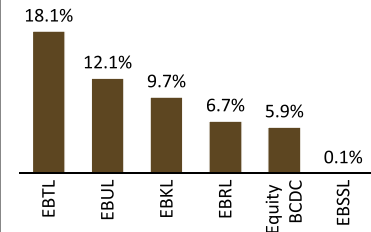


*NPL Coverage inclusive of credit risk guarantees

NPL Ratios

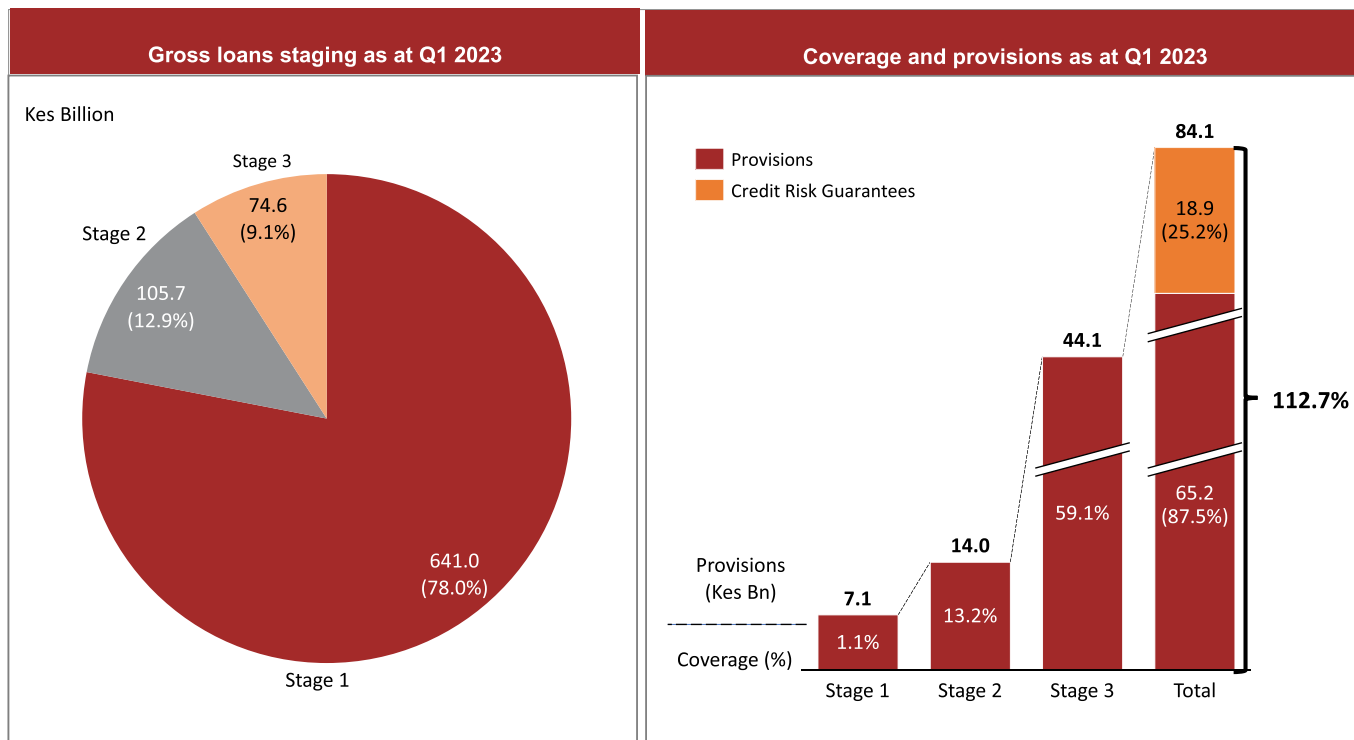


NPL per Subsidiary as at Q1 2023



Focus Area 6: Asset Quality, Distribution and Risk Mitigation

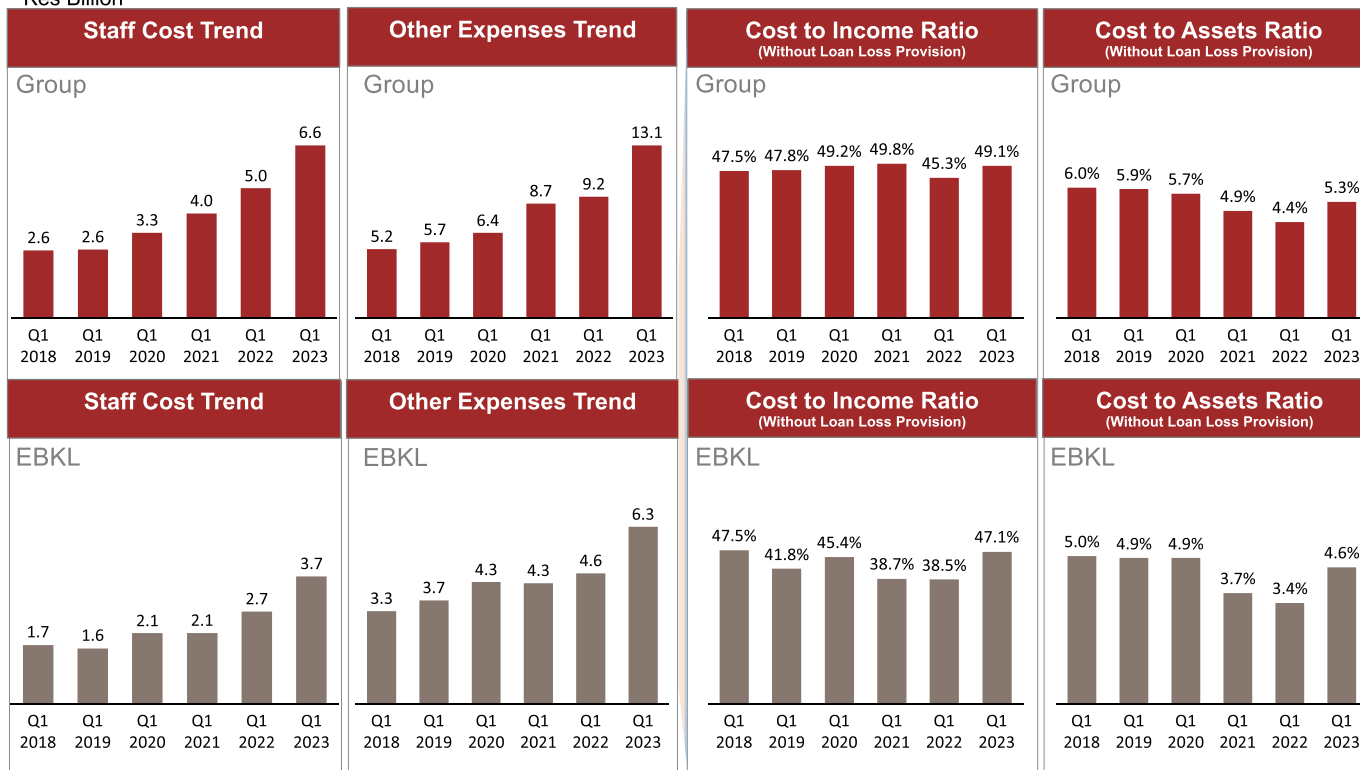
Prudent approach to credit risk management



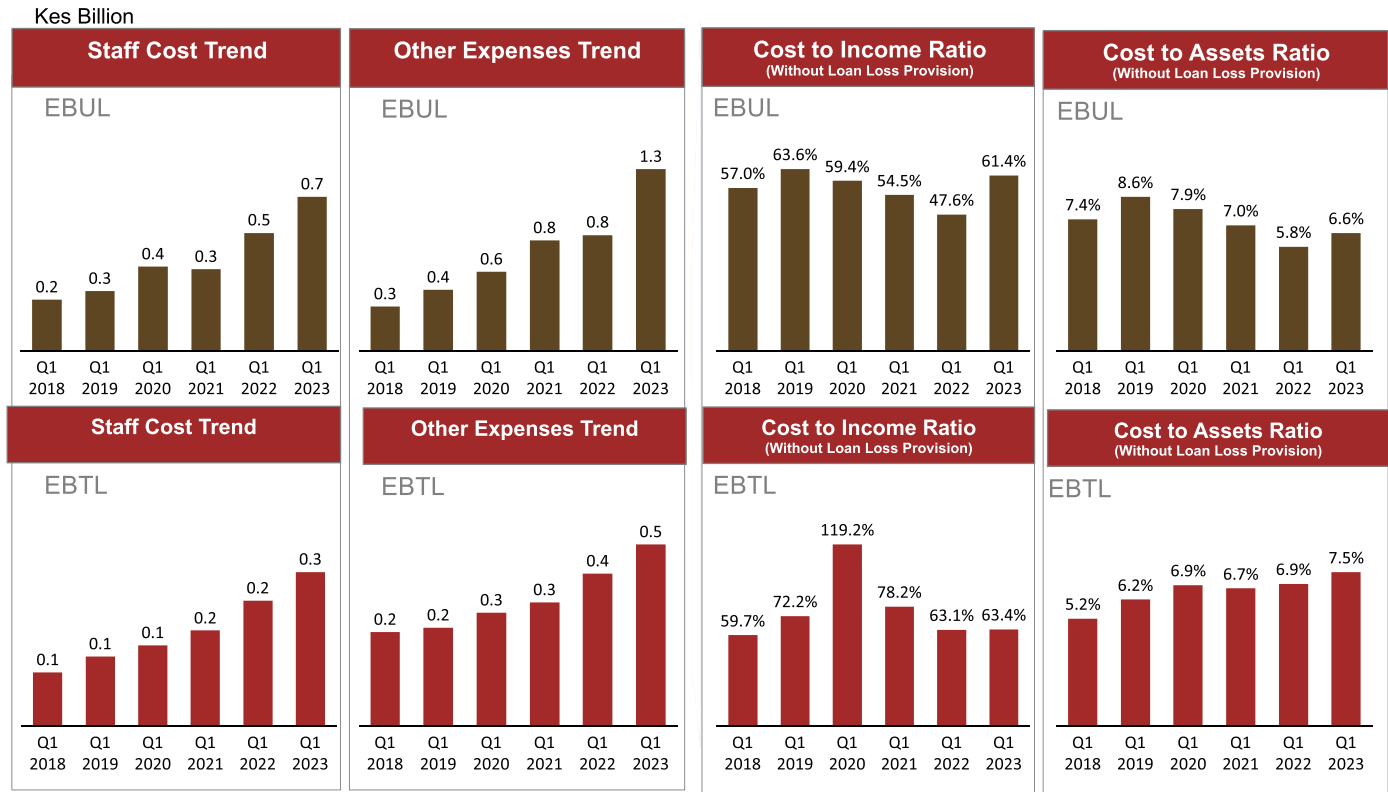
* Credit risk guarantees providing additional Kes 18.9 Billion NPL coverage

Focus Area 7: Efficiency and Cost Optimization

Kes Billion

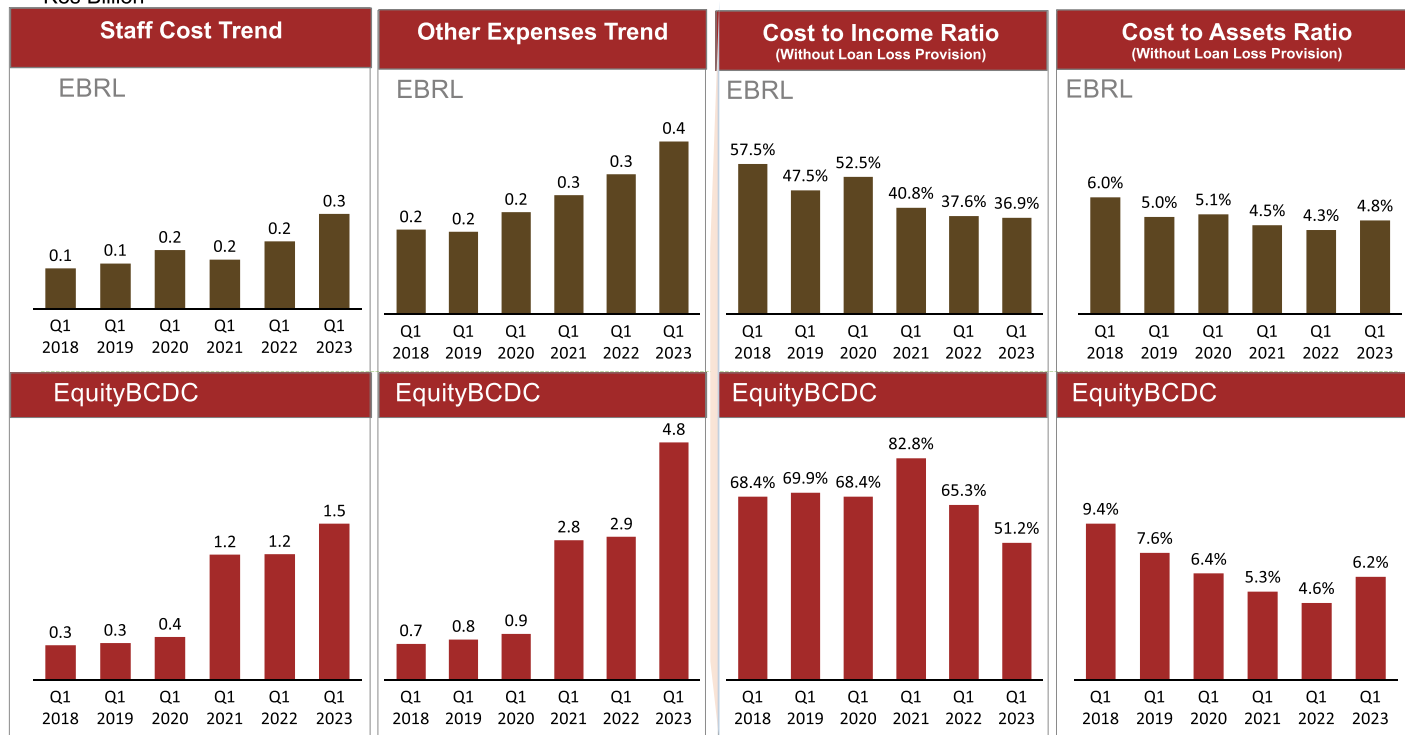


Focus Area 7: Efficiency and Cost Optimization



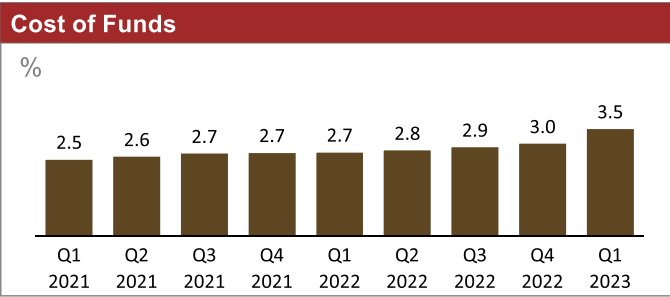
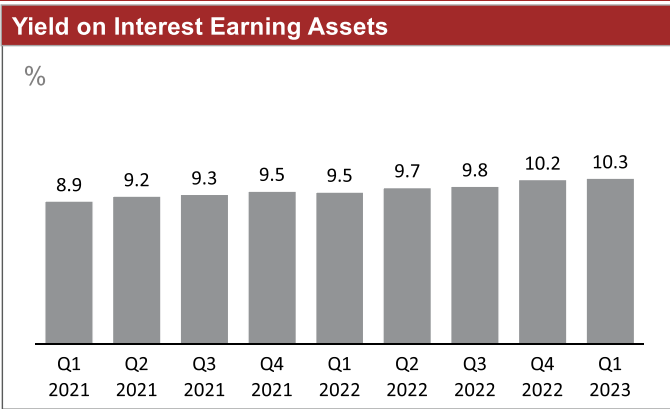
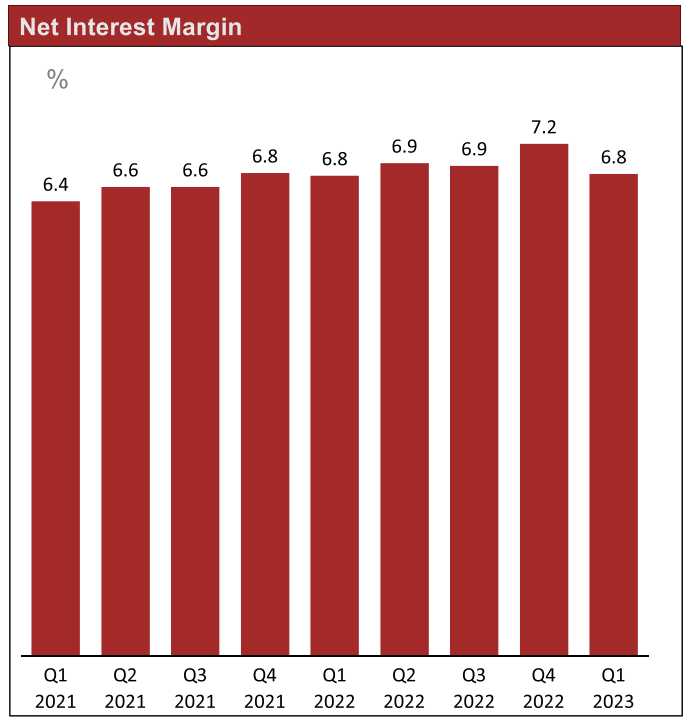
Focus Area 7: Efficiency and Cost Optimization

Kes Billion



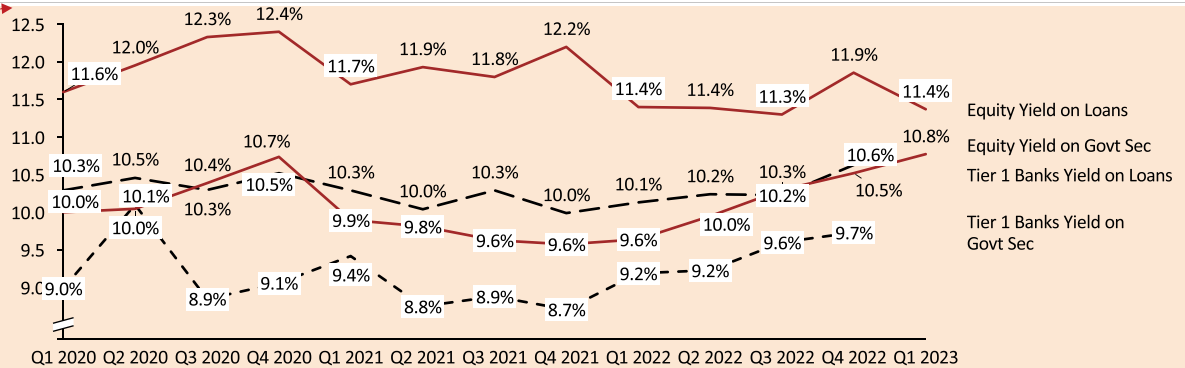
Focus Area 7: Efficiency and Cost Optimization

Group

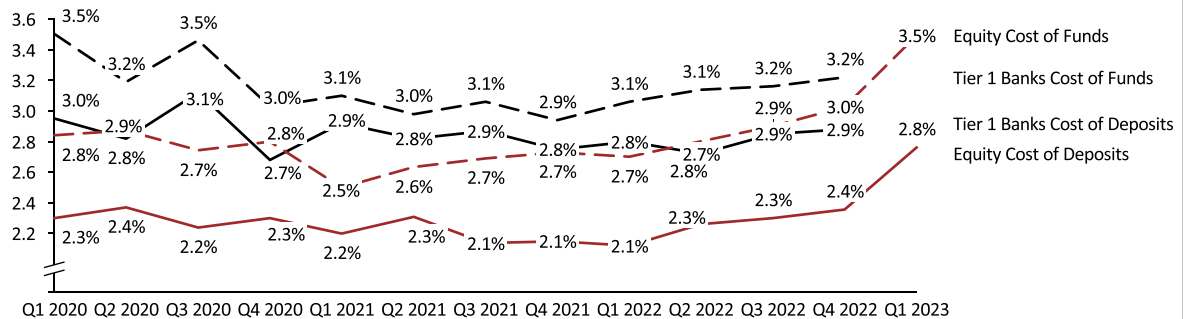


Focus Area 7: Efficient Financial Intermediation

Equity Group's lending yields compared to Kenyan Tier 1 Banks. Lending yields reflecting efficient asset allocation between asset classes



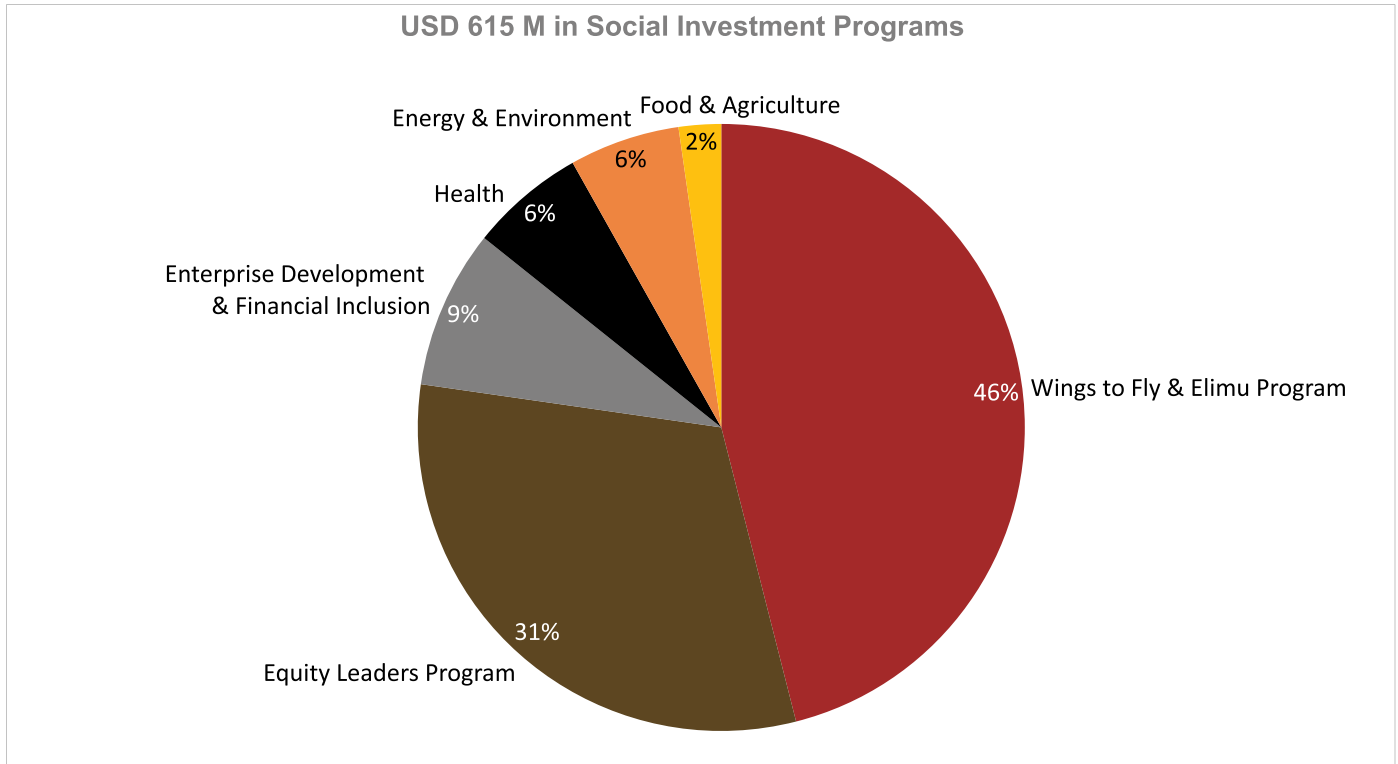
Equity Group's ability to attract and retain deposits amidst uncertain environment underpinned by its stable deposit franchise and implied low risk



Tier 1 Banks excludes Equity Group. Industry data available up to Q4 2022

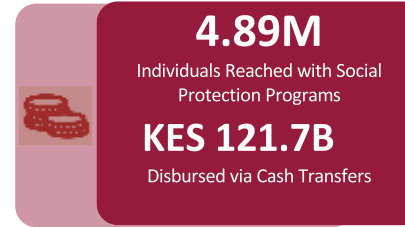
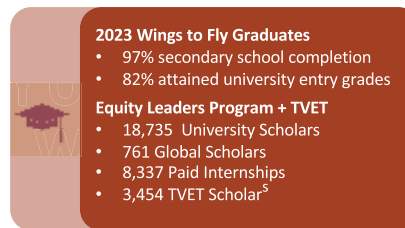
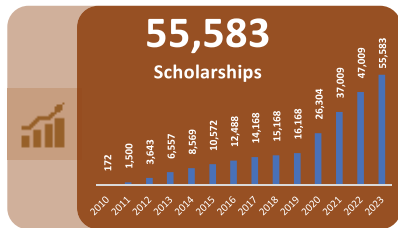
Focus Area 8: Impact Investment

Impact & Social Investment Programs



Focus Area 8: Impact Investment

Shared Prosperity Business Model and its Social Impact





MEMBER

MEMBER

MEMBER

MEMBER

MEMBER

MEMBER

MEMBER

MEMBER

MEMBER

MEMBER

Business Validation

Global Ratings and Accolades



Equity Bank Credit Rating

- National Rating: B2
- Global Rating: Aaa.ke/KE-1
- Rating Outlook: Negative Same as the sovereign rating



World's strongest banking brands 2023

- Position 4 – in the World
- Brand Strength Rating (BSR) of AAA+
- World's TOP 500 most valuable banking brands 2023
- Position 291 – in the world
- Position 3 – in Africa



- Position 22nd in Africa;
- Position 761 largest bank globally,
- Position 149th in soundness [Capital Assets to Assets ratio],
- Position 71st Profits on Capital
- Position 39th on Return on Assets



African Business Leadership Awards 2020

- African CEO of the Year - Dr. James Mwangi



Equity Bank Credit Rating

- Long Term Rating: AA-
- Short Term Rating: A1+
- Rating Outlook: Stable



- Dr. James Mwangi recognized among 50 Most Reputable Bank CEOs in Africa



2020 Oslo Business for Peace Award
Dr. James Mwangi.



- Position 7 overall
- Position 5 on soundness
- Position 9 on growth performance
- Position 8 on return on risk
- Position 6 on leverage category
- Position 6 on profitability



- 2022 Best Financier for Women Entrepreneurs - Platinum
- 2022 SME Financier of the Year- Africa - Silver
- 2022 Product Innovation of the Year - Honorable Mention

Global Ratings and Accolades



- Africa best bank for SMEs 2021
- Excellence in Leadership in Africa 2020



- Socially Responsible Bank in Africa, 2020
- Best Regional Bank - East Africa - Equity Bank 2021
- African Bank of the Year, 2018
- African Banker of the Year, 2018 (Dr. James Mwangi)
- Best Retail Bank in Africa, 2017



Dr. James Mwangi,
named to the 3rd Annual
2019 Bloomberg 50 list



- Bank of the Year - Kenya 2019
- Bank of the Year - Uganda 2019 & 2021
- Bank of the Year - Rwanda 2020 & 2021
- Bank of the Year - DRC 2020
- Bank of the Year - South Sudan 2019, 2020 & 2021



- Visa Top Acquiring Award 2021
- Visa E-Commerce (Acquiring) Award 2021



Finserve named Best in Banking/
Financial and Insurance Services



- Best Overall Winner – 1st Runners Up
- Most Innovative Bank – Winner
- Best in Sustainable Finance – 2nd Runners Up



- Mary Wamae - Winner Women on Board Awards 2021
- Equity Group Foundation - 2nd runners up Women on Board Awards Organization of the year

2022 National Banking Awards and Accolades

	Brand	1. Best Overall Bank - 11 years running 2. Best Bank in Tier 1 - 8 years running 3. Best Bank in Sustainable CSR - 6 years running 4. Best Bank with the Lowest Charge for Individuals - 6 years running 5. Most Customer-Centric Bank – 1st Runner Up
	Franchise Segment	1. Best Bank in Retail Banking 2. Best Bank in SME Banking 3. Best Commercial Bank in Microfinance 4. Best Bank in Agency Banking 5. Best Bank in Mobile Banking 6. Best Bank in Corporate Banking – 1st Runners Up 7. Best Bank in Internet Banking – 1st Runners Up 8. Best Bank to Borrow from – 2nd Runner Up 9. Best Bank in Product Innovation – 2nd Runner Up
	Product	1. Best Bank in Trade Finance 2. Best Bank in Agriculture and Livestock Financing 3. Best Bank in Product Marketing 4. Special Judges Award for Product Innovation – Winner 5. Best Bank in Asset Finance – 1st Runners Up 6. Best Bank in Mortgage Finance – 1st Runner Up
	Leadership	1. CEO of the Year – Dr. James Mwangi - 5 years running 2. Outstanding Young Banker of the Year 3. Leader in Customer Satisfaction Index (CSI).

Global Ratings and Accolades

**Banking
500
2023**

Brand Finance®
The Most Valuable and Strongest Banking Brands



Equity Group, East and Central Africa's largest financial services Group, has been named the 4th strongest banking brand in the world. This is the Group's second consecutive appearance in the Brand Finance Banking 500 rankings, with an impressive Brand Strength Index (BSI) score of 92.4 out of 100 and an elite AAA+ brand strength rating

World's strongest banking brands 2023

- Position 4 - in the World
- Brand Strength Rating (BSR) of AAA+

World's top 500 most valuable banking brands 2023

- Position 291 – in the world
- Position 3 – in Africa

Global Ratings and Accolades



Equity Group's MD and CEO, Dr. James Mwangi, was honoured in the 2019 Bloomberg 50 list. This is an honorary list of fifty innovators, entrepreneurs, and leaders who have impacted the global business landscape in measurable ways. Dr. Mwangi was lauded for his contribution in steering Equity Bank to have presence in the greater Central and Southern Africa region. He was honored alongside environmental activist Greta Thunberg, New Zealand Prime Minister Jacinda Ardern, CNN President and Warner Media Chairman Jeff Zucker, Singer and entrepreneur Rihanna, among others.

Global Ratings and Accolades

Dr. James Mwangi honouree, 2020 Oslo Business for Peace Award

Honourees are chosen by a prestigious Award committee consisting of past Nobel Prize winners in Peace Economics.

“Dr. James Mwangi receives the Award for his businessworthy values in championing financial inclusion for all in East and Central Africa. Dr. Mwangi helped achieve a social revolution by bringing banking services to people who previously had limited access to them bolstering Kenya’s GDP. Dr. Mwangi is an exceptional entrepreneur and humanitarian. The committee sees him as a shining example of how business leaders can accelerate change and help solve the world’s problems,” said Per Saxegaard, Founder of the Oslo Business for Peace Awards.



The Africa Recovery & Resilience Plan

Commonwealth Heads of Government Meeting

As part of continuous efforts to champion post COVID-19 recovery, Equity Group participated in 3 high-level engagements, where the Group's Africa Recovery and Resilience Plan was officially launched and partnership agreements signed to accelerate the implementation of the plan which Equity Group has seeded with a USD 6 billion fund. The three key engagement included the:

- Commonwealth Heads of Government Meeting (CHOGM) in Kigali Rwanda
- Launch of the Africa Continental Free Trade Area (AfCFTA) partnership agreement and
- Launch of the East African Community (EAC) partnership agreement



Dr. James Mwangi, Equity Group Managing Director & CEO addressed delegates from 54 countries at the 2022 Commonwealth Business Forum in Kigali on Equity Group's Kshs 700 billion Africa Recovery and Resilience Plan as the anchor partner to the Commonwealth meetings.



President of the Republic of Rwanda H.E Paul Kagame (left), Equity Group Managing Director and CEO Dr. James Mwangi (centre) and IFC Managing Director and Executive Vice President Makhtar Diop (right) follow proceedings during the launch of one of Equity's transformational flagship projects that is aligned with Rwanda's ambition of becoming a financial hub.

The Africa Recovery & Resilience Plan (continued)

Commonwealth Heads of Government Meeting (continued)



1



2



3



4

1. Boris Johnson, the then Prime Minister of the United Kingdom (left) engages with Dr. James Mwangi, Equity Group Managing Director & CEO at the 2022 Commonwealth Heads of Government Meeting (CHOGM) meetings held in Rwanda.

2. Dr. James Mwangi, Equity Group Managing Director & CEO (left) engages with the then Prince of Wales and now King Charles III (2nd right) at the 2022 Commonwealth Heads of Government Meeting (CHOGM).

3. President of the Republic of Rwanda H.E Paul Kagame (left) and Equity Group Managing Director and CEO Dr. James Mwangi (right) officially unveil a commemorative plaque at one of the Africa Recovery and Resilience Plan flagship projects

4. **From Left:** Dr. James Mwangi, Equity Group Managing Director & CEO, Evelyn Rutagwenda, Equity Group Vice-Chairperson and Joy Dibenedetto, Group Director Communications have a round table discussion with Ralph Mupita, MTN Group President & CEO & Mcebisi Jonas MTN Group Chairman.

The Africa Recovery & Resilience Plan (continued)

Launch of the Commonwealth Enterprise and Investment Council (CWEIC) East and Central Africa hub in Nairobi

The Commonwealth Enterprise and Investment Council (CWEIC) has launched its East and Central Africa hub in Nairobi with Equity Group as its anchor partner and Dr. James Mwangi as the inaugural Chairman. The hub will play an essential role in ensuring that East and Central Africa are at the forefront of the Commonwealth trade and investment agenda, encouraging international investors and partners to capitalize on the opportunities arising from the Africa Continental Free Trade Area (AfCFTA) agreement.



Cabinet Secretary Ministry of Industrialization, Trade and Enterprise Development, Hon. Moses Kuria (right), Equity Group Managing Director and CEO, Dr. James Mwangi (2nd right), Lord Marland of Odstock, Chairman of CWEIC (2nd left) and Equity Group Board Chairman, Prof. Isaac Macharia (left) unveil the CWEIC East and Central Africa hub.



Equity Group Board Chairman, Prof. Isaac Macharia (left) and Equity Group Managing Director and CEO, Dr. James Mwangi (right) take Lord Marland of Odstock (centre) Chairman of CWEIC through the exhibition walkway during the launch of the CWEIC East and Central Africa hub in Nairobi.

The Africa Recovery & Resilience Plan (continued)

Launch of the Commonwealth Enterprise and Investment Council (CWEIC) East and Central Africa hub in Nairobi (Continued)



1. Cabinet Secretary Ministry of Industrialization, Trade and Enterprise Development, Hon. Moses Kuria addresses guests during the launch of the CWEIC East and Central Africa hub in Nairobi.
2. Equity Group Managing Director and CEO, Dr. James Mwangi gives his remarks during the launch of the CWEIC East and Central Africa hub in Nairobi.
3. Lord Marland of Odstock, Chairman of CWEIC speaking to guests during the launch of the CWEIC East and Central Africa hub in Nairobi.
4. Lord Marland of Odstock, Chair of the Commonwealth Enterprise and Investment Council (CWEIC) (right) receives a memento from Dr. James Mwangi, Equity Group Managing Director and CEO (left). Dr. Mwangi was named the inaugural Chairman of the CWEIC East and Central Africa hub which will be based in Nairobi.

The Africa Recovery & Resilience Plan (continued)

The European Union – Kenya Business Forum

Equity Group partnered with the European Union to host a customer networking event during the EU Kenya Business Forum held in Nairobi. The two-day Business Forum aims to foster European trade and investment in Kenya by highlighting economic opportunities and potential trade and investment opportunities.



Equity Group Managing Director and CEO Dr. James Mwangi and Ambassador – Delegation of the European Union to Kenya Henriette Geiger arrive at the EU Kenya Business Forum.

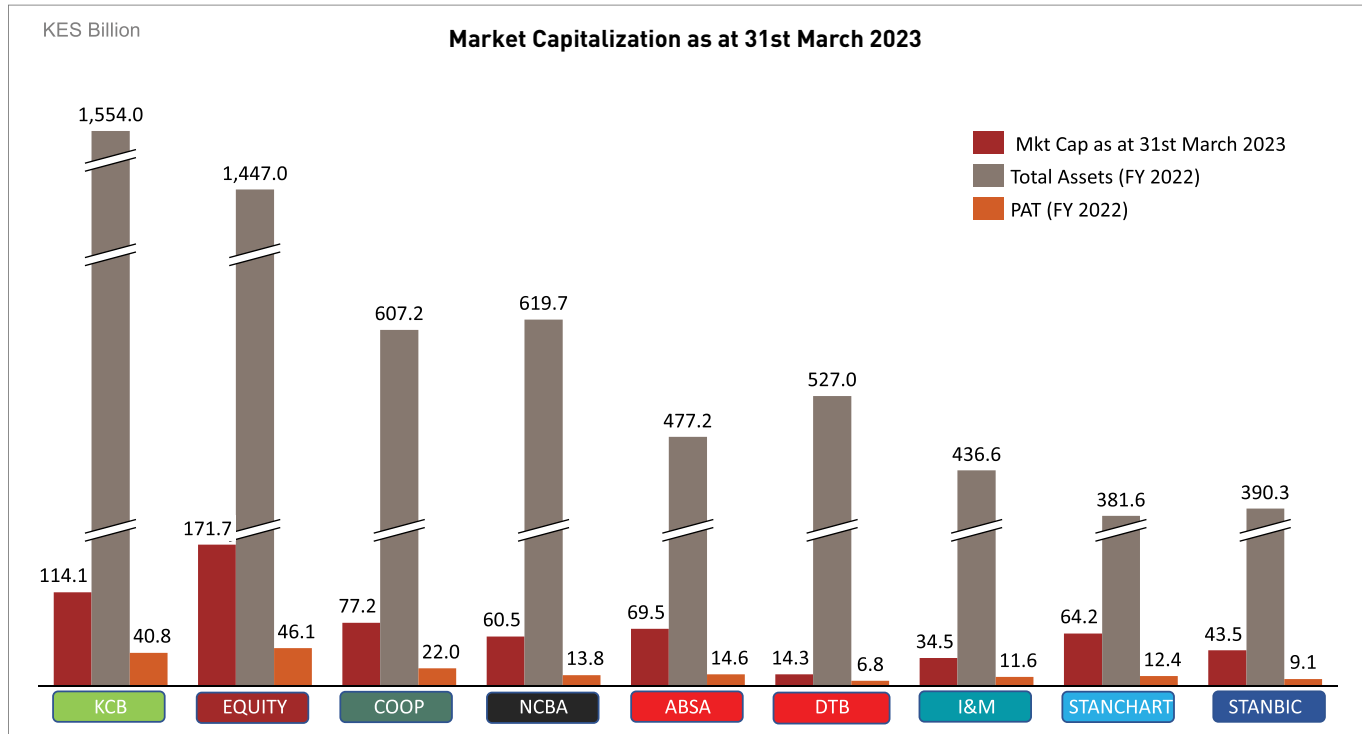


Equity Group Managing Director and CEO Dr. James Mwangi, addresses delegates during the EU Kenya Business Forum.



(L - R) Antti Karhunen, European Commission – Director-General for International Partnerships; Helena König, Deputy Secretary-General for Economic and Global Issues; Dr James Mwangi, Equity Group Managing Director and CEO, Henriette Geiger, Ambassador-Delegation of the European Union to Kenya and Erastus Mwencha, Equity Bank Kenya Board Chairman at the EU Kenya Business Forum held in Nairobi.

Market Validation



Market Capitalization Source: Business Daily April 3, 2023



Intermediation and Financial Performance

Balance Sheet

KES Billion	Q1 2022	Q1 2023	Growth
Assets			
Cash & Cash Equivalents	166.4	258.4	55%
Government Securities	389.4	392.5	1%
Net Loans	623.6	756.3	21%
Other Assets	90.1	130.5	45%
Total Assets	1,269.5	1,537.7	21%
Liabilities & Capital			
Deposits	900.9	1,111.2	23%
Borrowed Funds	147.1	159.0	8%
Other Liabilities	47.3	76.8	62%
Shareholders' Funds	174.2	190.7	9%
Total Liabilities & Capital	1,269.5	1,537.7	21%

Income Statement

KES Billion

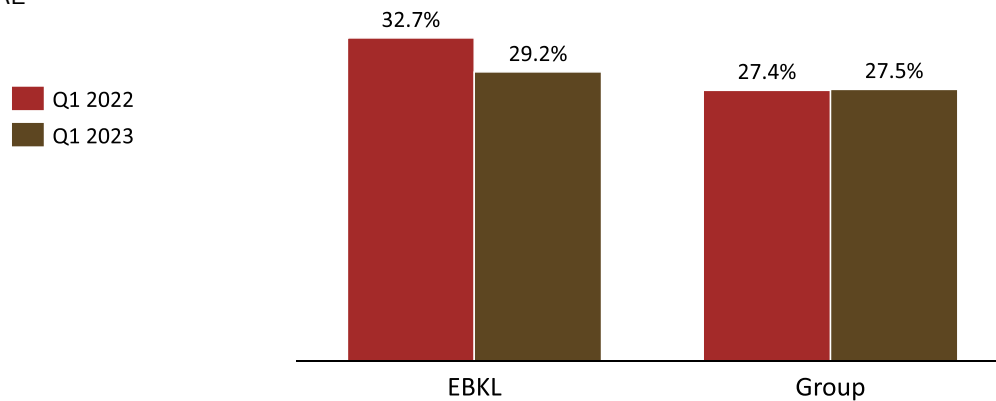
	Q1 2022	Q1 2023	GROWTH
Interest Income	26.7	32.4	21%
Interest Expense	7.3	10.7	47%
Net Interest Income	19.4	21.7	12%
Non-Funded Income	11.5	18.0	57%
Total Income	30.9	39.7	28%
Loan Loss Provision	1.4	3.1	127%
Staff Costs	5.0	6.6	33%
Other Operating Expenses	9.2	13.1	42%
Total Costs	15.6	22.8	46%
PBT	15.3	16.9	10%
Tax	3.4	4.1	19%
PAT	11.9	12.8	8%
Earnings per share	3.1	3.3	7%

*Loan loss provision has been presented net of recoveries. In the CBK publication Loan Loss Provision is presented as a gross amount. The gross provisions and recoveries are as follows;

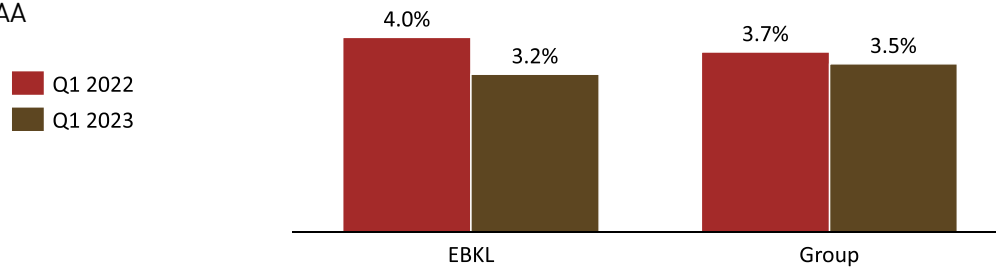
KES Bn	Q1 2022	Q1 2023
Gross loan loss provision	1.8	3.5
Loan recoveries	(0.4)	(0.4)
Net loan loss provision	1.4	3.1

RoAE and RoAA Trend

RoAE



RoAA



Financial Ratios

	EBKL	EBKL	Group	Group
	Q1 2022	Q1 2023	Q1 2022	Q1 2023
Profitability				
Yield on Loans	10.7%	10.9%	11.4%	11.4%
Yield on Government Securities	9.6%	10.7%	9.6%	10.8%
Yield on Interest Earning Assets	9.7%	10.6%	9.5%	10.3%
Cost of Deposits	2.4%	3.1%	2.1%	2.8%
Cost of Funds	2.9%	4.0%	2.7%	3.5%
Net Interest Margin	6.8%	6.6%	6.8%	6.8%
Cost to Income Ratio with provisions	43.5%	55.8%	51.1%	57.8%
Cost to Income Ratio without provisions	38.5%	47.1%	45.3%	49.1%
RoAE	32.7%	29.2%	27.4%	27.5%
RoAA	4.0%	3.2%	3.7%	3.5%
Asset Quality				
PAR	8.4%	9.7%	8.6%	9.1%
NPL Coverage	106.9%	91.4%	95.0%	87.5%
Cost of Risk	1.0%	1.7%	1.2%	1.9%
Leverage				
Loan / Deposit Ratio	58.9%	75.2%	61.3%	68.1%
Capital Adequacy Ratios				
Core Capital to Risk Weighted Assets	13.1%	14.9%	14.0%	15.5%
Total Capital to Risk Weighted Assets	18.5%	19.6%	18.7%	19.8%
Liquidity				
Liquidity ratio	75.6%	62.2%	59.6%	51.5%

2023 Guidance Vs Actual - Group

	2023 Guidance	Q1 2023 Actual
Loan Growth	25% - 30%	21%
Deposit Growth	20% - 25%	23%
Net Interest Margin	7.5% - 8.5%	6.8%
Non Funded Income Mix	40% - 43%	45.4%
Cost to Income Ratio	40% - 45%	49.1%
Return on Equity	25% - 30%	27.5%
Return on Assets	3.6% - 4.3%	3.5%
Cost of Risk	1.0% - 1.5%	1.9%
NPL	7% - 10%	9.1%
Subsidiaries Contribution (Assets)	45% - 50%	45%
Subsidiaries Contribution (PBT)	30% - 35%	48%

A group of four diverse people are shaking hands in a friendly manner outdoors. From left to right: a man in a white chef's hat, a man in a white shirt and a patterned headband, a woman with long dark curly hair and glasses, and a young man in a light blue button-down shirt. They are all smiling. The background shows a bright blue sky with clouds and other people in the distance. Four white pill-shaped labels with the word 'MEMBER' in blue capital letters are overlaid on the image: one at the top left, one at the top right, and two in the middle left and middle right.

MEMBER

MEMBER

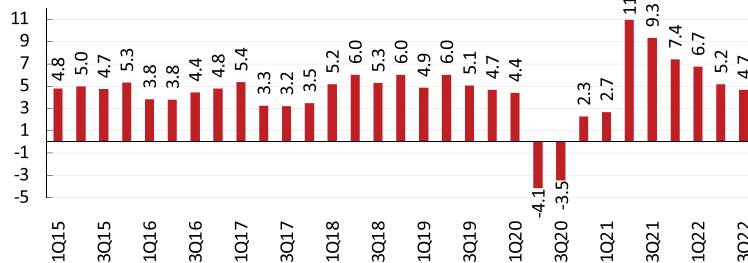
MEMBER

MEMBER

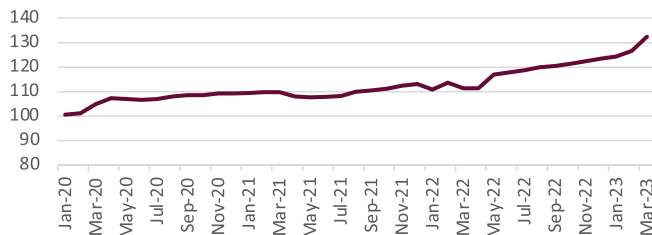
Macroeconomic Environment Indicators & Trends

Macroeconomic Environment - Kenya

Real GDP growth, %



KES/USD



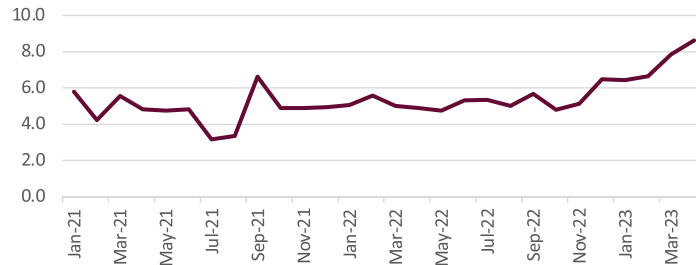
- **Resilient growth** – Growth was robust in 2022 despite a challenging external environment, a protracted drought and elections. Following an uneventful election, we expect growth to have picked up in 4Q22 and estimate the economy grew by 5.3% in 2022, faster than the SSA average of 3.8%. We expect this growth momentum to be maintained in 2023.

- **Kenya shilling weakness** – The Kenya shilling weakened in 2022 on the back of 1) a strengthening US dollar; 2) a strong oil price; and 3) financing shortfalls for the budget. The depreciation of the shilling accelerated in Q1 2023 as inflation remained sticky and higher-for-longer interest rates expectations remained elevated, compounded by the risk off sentiment triggered by the banking sector turmoil in US and Europe.

Source; IMF, Central Bank of Kenya,

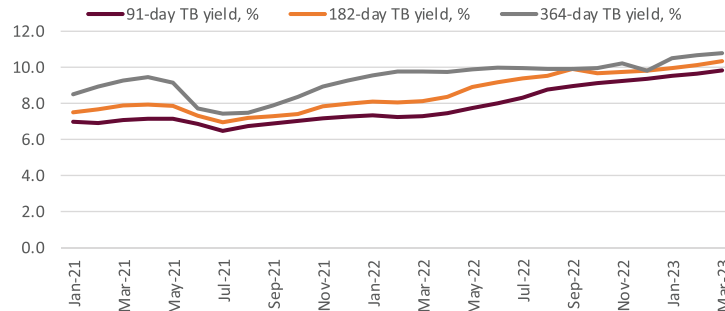
Macroeconomic Environment - Kenya (continued)

Interbank rates, %



- **Interbank Rates** – Overnight lending interest rates continue to pick up on the back of a decrease in liquidity in the market.

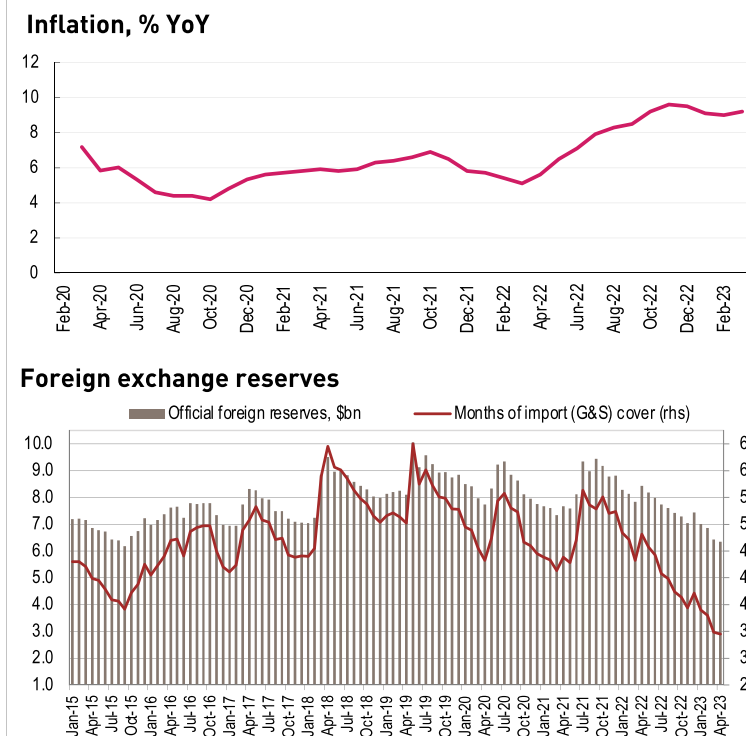
T-Bill rates



- **T-Bill Rates** – Rates have been gradually rising in the short-term with the long-term end of the curve remaining relatively stable.

Source; Central Bank of Kenya

Macroeconomic Environment - Kenya (continued)



- **Sticky inflation** – Inflation was flat in March at 9.2% YoY, following a short-lived slowdown in November to January. Inflation was largely driven by food inflation which increased to 13.4% YoY, from 13.3% YoY in February. The depreciating shilling is also likely placing upward pressure on imported prices. We expect this to be mitigated by easing food inflation, on the back of favorable long rains.

- **FX Reserves** – Usable foreign exchange continued to fall in Q1 2023. They decreased by \$1bn to \$6.4bn million or 3.6 months of import cover at the end of March.

Source; Central Bank of Kenya, Kenya National Bureau of Statistics

Regional Outlook

Uganda

- Inflation slowed for a second consecutive month to 9.0% in March, from 9.2% YoY in February. This suggests that inflation is past its peak. Uganda's monetary policy committee opted to leave the policy rate unchanged at 10.0% for the seventh consecutive month in April, in order 'to contain inflationary pressures sustainably'. Growth slowed to 4.4% YoY in 4Q22, from 9.2% YoY in 3Q22, because of a fall in industrial output and slowdown in services' growth. Growth is projected to pick up to 5.6% in 2023, by the IMF, from 5.0% in 2022. Inflation is expected to fall to c. 7.3% at year end, from 10.3% at the end of 2022. We expect monetary policy to remain firm in 2023. The risks to the outlook include higher imported inflation, a slowdown in external demand, climate change and another health crisis. The current account deficit is projected to widen to 9.9% of GDP in 2023, from 8.5% in 2022, by the IMF, which is negative for the Ugandan shilling.

Tanzania

- Inflation slowed for the second consecutive month to 4.7% YoY in March, from 4.8% YoY in February. The benchmark rate (the discount rate) remains flat 5.0%. The economy's recovery from the pandemic is expected to continue in 2023, when the IMF forecasts stronger growth of 5.2%, up from an estimated 4.7% in 2022. This is in part due to an improvement in the business environment. However, strong price pressures from fuel, food and fertiliser are expected to keep inflation elevated. Inflation is expected to increase to 5.0-5.5% at the end of 2023, from 4.6% at the end of 2022, and to moderate in 2024. We expect the monetary policy stance to remain unchanged in the short term. A smaller current account deficit is positive for the Tanzanian shilling.

Regional Outlook (continued)

Rwanda

- Inflation decreased to 19.3% YoY in March, from 20.8% YoY in February. Food inflation remains strong at 41% YoY in March. We expect inflation to slow to 8-9% at year end 2023, from 22% a year earlier, in part due to a base effect. Rwanda's economic growth is projected to slow to 7.7% in 2023, from 8.2% in 2022, by IMF estimates. This is due to a weaker global economy, supply side constraints related to the Ukraine war and strong commodity prices. Growth is expected to remain flat in 2024 on the back of infrastructure investment that is supportive of a pickup in the services sector. Rwanda's twin deficits will remain wide. The budget deficit may come under pressure from higher security expenditure. The Rwandan franc may come under pressure from a wider current account deficit.

DR Congo

- Inflation increased to 13.6% YoY in January, from 11.6% in December. We expect inflation to come in at 12.5% YoY at the end of 2023. The DRC is expected to maintain strong growth at around 8.0% in 2023, down from 8.5% in 2022, on the back of robust mining production. However, there are downside risks to the outlook including the armed conflict in the eastern part of the country, and elections at year end. Foreign exchange reserves improved more than expected to US\$4.6 billion in 2022, which is supportive of the currency. The budget deficit is expected to come under pressure from arrears repayment, election-related spending and increase security expenditure. That said, public debt remains low at c. 25% of GDP.

Source: World Bank, IMF & Focus Economics.

Regional Outlook (continued)

South Sudan

- Since the emergence of the COVID-19 pandemic in 2020, South Sudan has had to deal with concurrent economic shocks, including flooding and the war in Ukraine. This aggravated an already challenging economic situation. The increase in the oil price in 2022 helped counter the effect of lower oil production and helped sustain foreign exchange reserves. An economic recovery is expected in 2023. The economy is projected to grow by 2.1%, following a decline of 1.6% in 2022. Inflation slowed in 2022 to 8.7%, according to an IMF estimate, in part due to the restoration of fiscal restraint and the curbing of monetary financing. Inflation is expected to increase to 13.7% in 2023; we believe this is in part due to tight food supply. A current account surplus is predicted by the IMF over the medium-term implying some easing of the depreciation pressure on the currency.

Source: World Bank, IMF & Focus Economics.

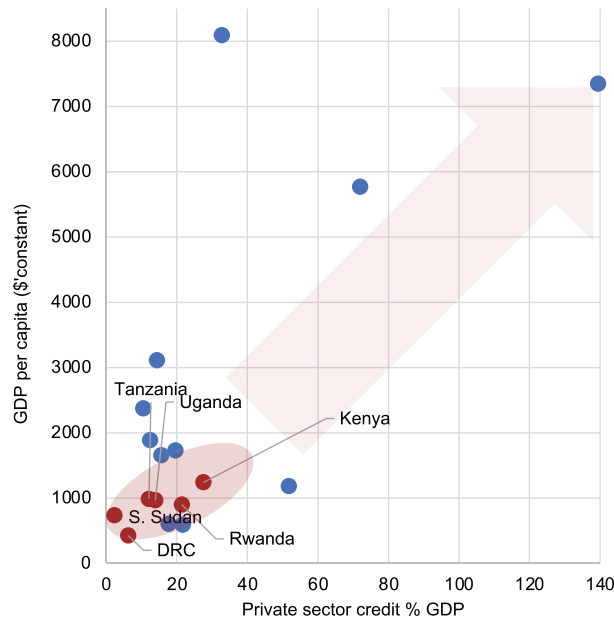


Geographical Expansion and Business Diversification

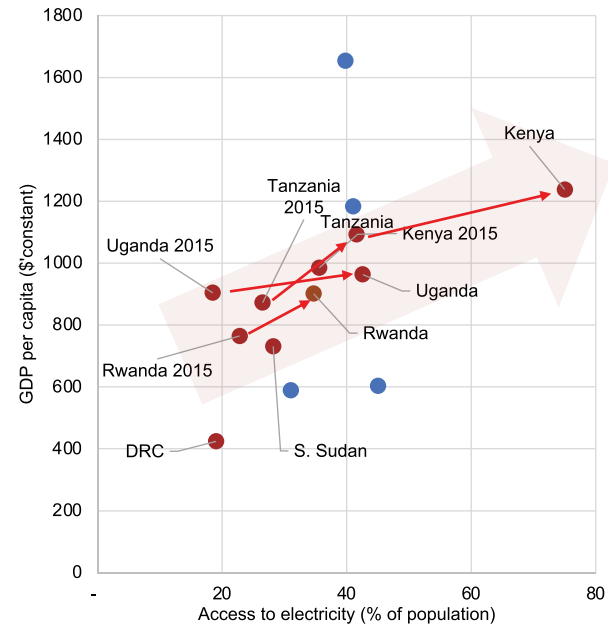
Geographical Expansion and Business Diversification

Productivity gains coming from improving access to credit and infrastructure

Low credit penetration highlights significant productivity gains in funding value chains



Improving access to infrastructure will support productivity gains

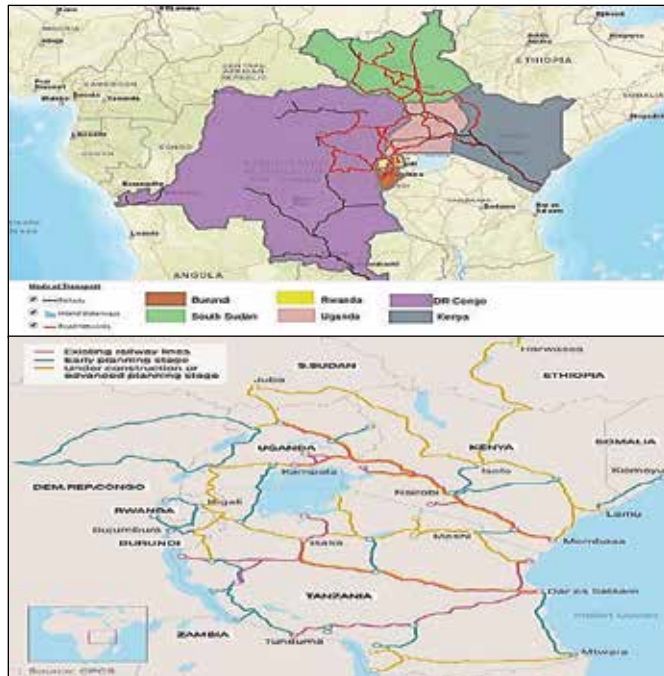


Source: World Bank

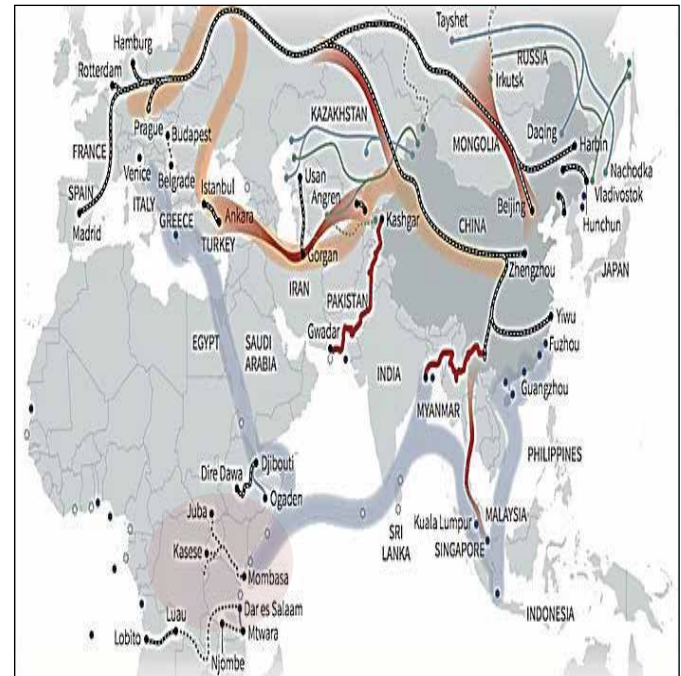
Geographical Expansion and Business Diversification

Regional trade and growing connectivity to global trade underpinned by expanding trade corridors

East and Central Africa increasing infrastructure connectivity



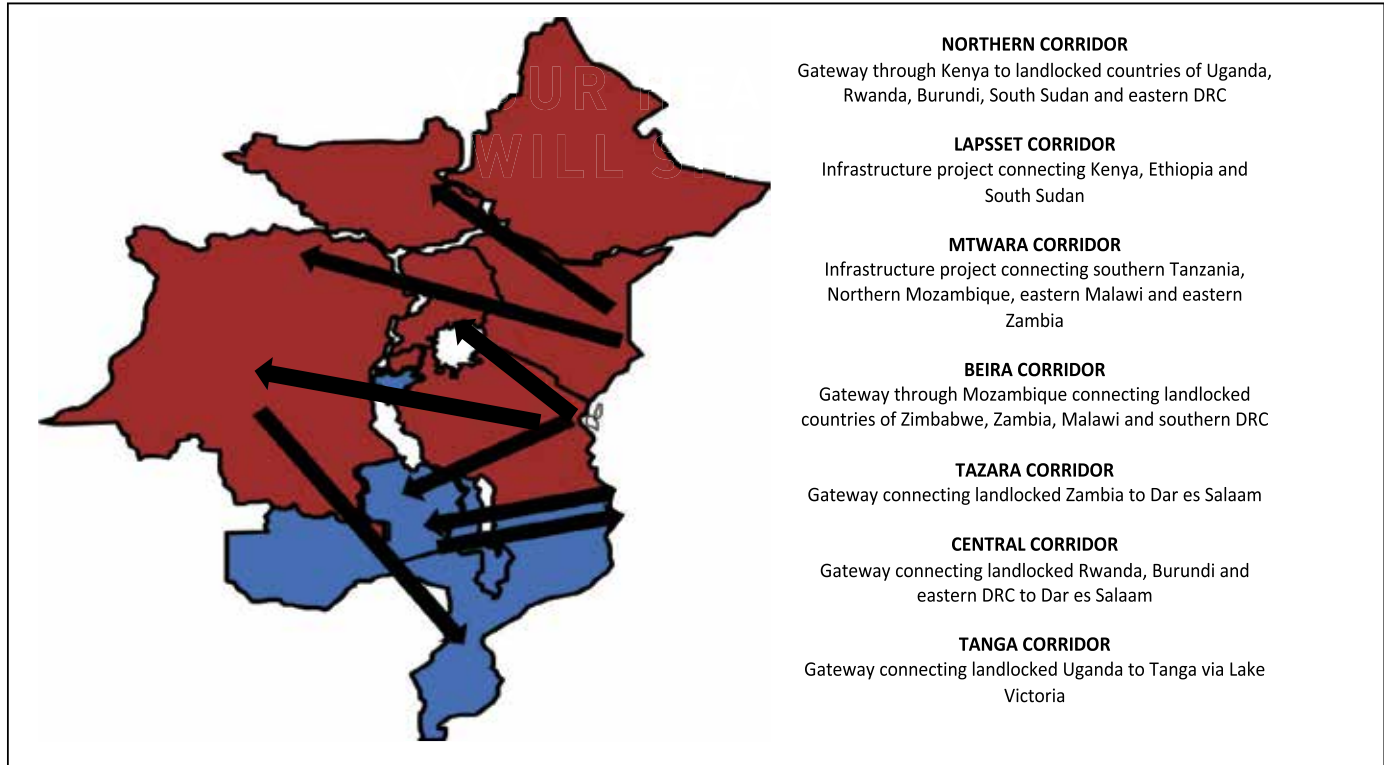
Growing linkages to global trade and commerce



Source: World Bank, Reuters, "Rail in Ethiopia Riding High while Kenya Still Lagging Behind," The Nairobi Network, March 25, 2014, <http://www.thehabarnetwork.com/wp-content/uploads/2014/03/Kenya-RegionalTransportation-Map.jpg>, UNCTAD, Northern Corridor Transit and Transport Coordination Authority

Geographical Expansion and Business Diversification

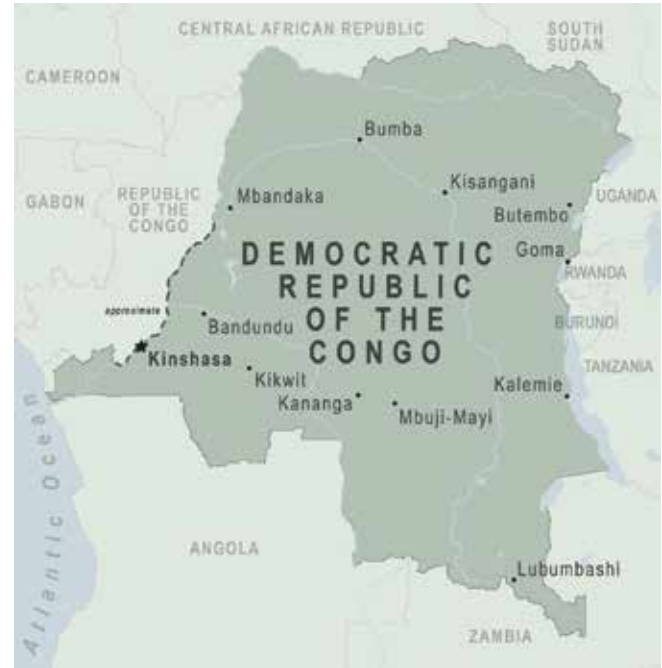
Equity Group regional presence to drive cross-border trade and support informal traders



Geographical Expansion and Business Diversification

DRC significant resource endowment

- On 11th July 2022, DRC became an official member of East African Community (EAC) by depositing instruments of ratification on the accession of the EAC Treaty with the secretariat. This expanded trade and investment opportunities in the region
- The admission of DRC to the EAC has seen concerted efforts from member states to restore peace to the troubled region of eastern Congo. Member states have sent in soldiers to the region on peace keeping mission. An Inter-Congolese peace talks involving armed groups in eastern DRC, local community leaders, civil society and other relevant stakeholders, with the aim of finding sustainable solutions to the security situation has been initiated
- DRC also has huge copper and cobalt reserves. Copper and cobalt demand will be accelerated by increased usage of electric vehicles and charging stations (5x more than gas car), renewable energy and storage systems, 5G base stations. Kamo-a-Kakula copper mine expansion and the increasing global demand for Copper should continue to spur economic growth
- DRC has the largest reserves of Coltan/tantalite (estimated at 60-80% of global reserves). Coltan is used in many electronic devices including mobile phones
- DRC has a large young population, ~93 million, with 45% of the population in urban centres presenting consumption opportunities



Geographical Expansion and Business Diversification

Landmark Oil Pipeline deal signed by Uganda and Tanzania

- Tripartite East African Crude Oil Pipeline project agreement (EACOP) signed off on 11th April 2021 between Uganda, Tanzania and large oil companies
- On 9th December 2021, Uganda Parliament passed the East African Crude Oil Pipeline (EACOP, Special provisions) Bill into Act of Parliament to domesticate the treaty between Uganda and Tanzania before the EACOP Company can embark on the pipeline construction
- On 1st February 2022, TotalEnergies, China National Offshore Oil Corporation (CNOOC) and the Uganda National Oil Company finalized the terms for Oil drilling and pipeline construction
- On 4th July 2022, a request for a license to begin the construction of the East African Crude Oil Pipeline (EACOP) was submitted to the government of Uganda by the company in charge of the project, East African Crude Oil Pipeline Company (EACOP) Ltd
- On 4th July 2022, the project was reported to be at land acquisition stage which is expected to be completed in mid-2023
- The deal paves way for:
 - US\$ 15Bn investment (c.40% of Uganda GDP)
 - Construction of 1,440km (US\$ 3.55bn) electrically heated crude oil pipeline from Ugandan Albertine region to Tanzanian seaport of Tanga
 - Creation of c.10,000 plus jobs
 - Possible peak production of 230,000 barrels per day



Geographical Expansion and Business Diversification

Promising Tanzania Operating Environment

- On 20th May 2021 Tanzania signed the host country EACOP agreement with TotalEnergies and the Ugandan government for the construction of a US\$ 3.55 billion oil pipeline which will see Tanzania earn US\$ 12.7 for each barrel transported. The Final Investment Decision was signed between TotalEnergies and its partners on 1st February 2022
- The admission of Democratic Republic of Congo (DRC) to the East African Community presents a huge opportunity to Tanzania due to its proximity to DRC and its reliance on neighboring countries for agricultural resources. DRC has approximately 93 million population and is rich in natural resources
- On 10th October 2022, the Tanzanian and Kenyan presidents directed line ministries to remove the remaining non-tariff barriers (NTBs) that were undermining trade and investment between the two countries. The heads of state also committed to fast-track construction of Gas Pipeline Project from Dar es Salaam and Mombasa
- Tanzania FY 2022/2023 budget proposes tax measures that support local and foreign direct investment which include:
 - Digital services - Introduction of Digital Service Tax of 2% for non-resident service providers and improving the VAT registration process for non-resident suppliers of electronic services;
 - reduction of money transfer levy, albeit widening its tax base to cover all electronic transactions;
 - waiver of income tax and granting of VAT exemption for Special Strategic Investors under the Tanzania Investment Act;
 - recognising alternative financing arrangements such as Islamic Banking products for Income Tax and Value Added Tax purposes;
 - reduction of Workers Compensation Fund (WCF) from 0.6% to 0.5% for the private sector;



Case Studies

The Equity business model is a leading case study in many business schools around the world. In addition, many business schools, organizations and institutions regularly visit the Group to learn firsthand about the brand, its evolution and business strategy. Many financial institutions from around the world make bench-marking exposure visits.

Online: Click link below to read Equity case studies:

equitygroupholdings.com/knowledge-resource/#tab_case-studies

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Equity Brand Campaign

Today we celebrate over 15 Million Members empowered across 7 African markets to Learn, Grow, Dream, Create, Lead and Harvest. This is our One Equity spirit!

Online: Click link below to view video on Equity's celebration of its Members

<https://www.youtube.com/watch?v=7eQd71SPUx8>

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Reflections on **how the private sector can build back better** by Equity Group Managing Director and CEO, Dr. James Mwangi in Arusha, Tanzania during the EAC Heads of State High Level Retreat for the Summit on the EAC Common Market



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Notes

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